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Korea Economic Outlook

2025. 2

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Executive Summary

- **Economic growth is expected to slow down to 1.5% this year, falling significantly below the previous outlook, as both exports and domestic demand face increasing downward pressures due to the implementation of U.S. tariff policiy and heightened domestic political uncertainty.**
- **CPI inflation is expected to reach 1.9%, meeting expectations as upside factors such as high exchange rates are mitigated by downside factors like low demand pressure and the government's price stability measures.**

(%)	2023	2024[1)]	2025[1)]	2026[e)1)]
GDP growth rate	1.4	2.0 (-0.2)	1.5 (-0.4)	1.8 (-)
Headline inflation (%)	3.6	2.3 (-)	1.9 (-)	1.9 (-)
(Core inflation)	3.4	2.2 (-)	1.8 (-0.1)	1.9 (-)

Note: 1) ( ) indicates change from the November 2024 projection.

ECONOMIC CONDITIONS

☐ **The world economy is expected to gradually slow down due to the impact of the U.S. tariff policy on the real economy, financial markets, and overall uncertainty.**

- The **United States** is expected to maintain its favorable growth, driven by domestic demand, but there is high uncertainty regarding the new government's economic policies and their consequences. In the **Euro area**, the improvement in growth will likely be weak due to the sluggish manufacturing sector and growing political uncertainty, despite the continued easing of monetary tightening. In **China**, while its trade friction with major countries is likely to be a downside factor for growth, the government's active measures to boost domestic demand are expected to offset some of the effects of such friction.
- **Global trade** is projected to slow gradually, despite some front-loading effects in anticipation of uncertainty in the global trade environment. **The global semiconductor business** is expected to continue rising, driven by high-performance semiconductors as ongoing investments in AI and servers persist. However, uncertainties, such as the slowing demand for high-performance semiconductors following China's development of DeepSeek and spread of on-device AI, may impact the market.
- **Global oil prices** are expected to hover at around the mid-USD 70 level this year, exceeding initial expectations due to supply-side factors, including the sanctions against Iran.

☐ **Domestically, downward pressure on domestic demand has increased, as economic sentiment has weakened due to heightened political uncertainty since the end of last year.**

- **Nominal wage** growth is expected to slow gradually as the effects of worsening corporate performance emerge over time.
- **Corporate bond interest rates** have declined due to factors including expectations for easing monetary policy. The **Won to U.S. Dollar exchange rate** rose to the mid-to-high 1,400 won range due to domestic political uncertainties and the implementation of U.S. tariff policy, but has recently been fluctuating in the low-to-mid 1,400 won range. **Housing prices** continue to show a slowdown due to macroprudential policies and political uncertainties.

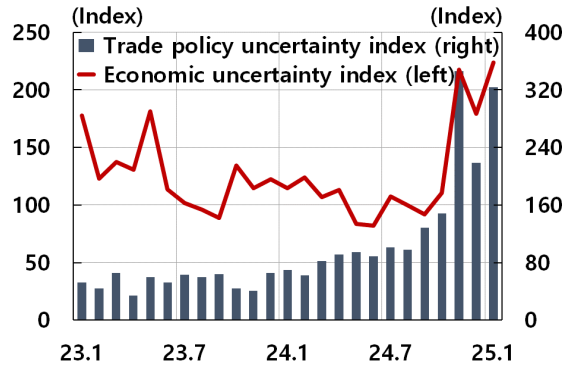
Baseline Scenario for Domestic Political Uncertainty and U.S. Tariff Policy

☐ **Domestic political uncertainty** persists through the first quarter of this year but gradually eases from the second quarter onward, leading to economic sentiment to recover to previous levels in the latter half of this year.

☐ **The United States imposes tariffs** on major trade deficit countries during this year*.

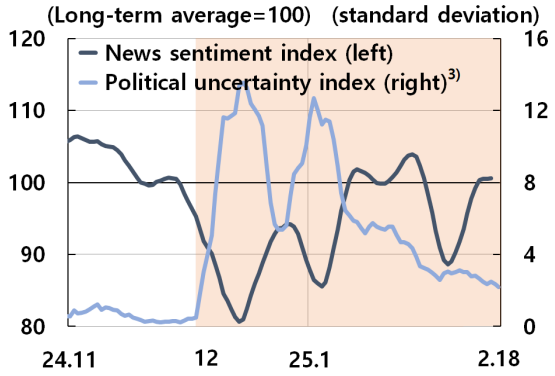
*Compared to the previous outlook, the tariff policy is expected to ① be implemented **earlier**, ② likely include a **larger hike**, and ③ **heighten uncertainty** in the global trade environment.

Figure 1. Uncertainty in U.S. economic and trade policies



Sources: Baker et al. (2016), Caldara et al. (2020).

Figure 2. Korea's political uncertainty index[1)2)] and news sentiment index



Notes: 1) Shaded area indicates after the martial law(Dec 3)
2) Both indices are 7-day moving average
3) Based on Baker et al. (2016), calculated using the number of articles including the words 「uncertainty」 and 「politics」
Sources: Research Department.

Global growth and trade outlook [1)]

(%)	2023	2024			2025[e)]			2026[e)]
	Year	H1	H2[2)]	Year[2)]	H1	H2	Year	Year
Global economy	3.3	3.2	3.1	3.2 [3.1]	3.0	2.9	2.9 [3.0]	2.8 [2.9]
• United States	2.9	3.0	2.6	2.8 [2.7]	2.4	1.8	2.1 [2.0]	2.1 [2.1]
• Euro area	0.4	0.4	1.1	0.7 [0.8]	0.9	1.1	1.0 [1.2]	1.1 [1.2]
• China	5.4	5.0	5.0	5.0 [4.7]	4.3	4.2	4.2 [4.3]	4.0 [4.1]
Global trade	0.8	2.3	3.7	3.0 [2.8]	3.3	2.6	2.9 [3.1]	2.8 [3.0]
Global oil prices[3)]	82	83	77	80 [80]	77	74	75 [72]	71 [70]

Notes: 1) [ ] indicates forecasts as of November 2024. 2) Figures of global economy and trade are projections.
3) Brent oil price (USD/barrel).
Source: Research Department.

Economic Outlook

☐ **GDP growth for this year is likely to slow to 1.5%, significantly below the 1.9% forecast from previous outlook, as domestic demand remains sluggish and export growth continues to decelerate.**

- For the **first quarter**, the GDP growth is projected at 0.2%, falling short of the previously expected 0.5%. This is attributed to weakened economic sentiment due to the announcement of U.S. tariff policy, heightened political uncertainty, and temporary factors such as unfavorable weather conditions*.

  From the **second quarter onward**, as political uncertainties gradually subside and financial conditions ease, domestic demand is expected to recover modestly. However, exports are likely to face increasing downward pressures towards the end of the year due to the worsening global trade environment.

  * Meanwhile, factors such as the launch of new IT products$_{\text{GalaxyS25}}$, a reduction in the individual consumption tax on automobiles$_{5\%\rightarrow3.5\%}$ in the first half of the year, and accelerated government fiscal spending may act as upward risks for the first-quarter growth.

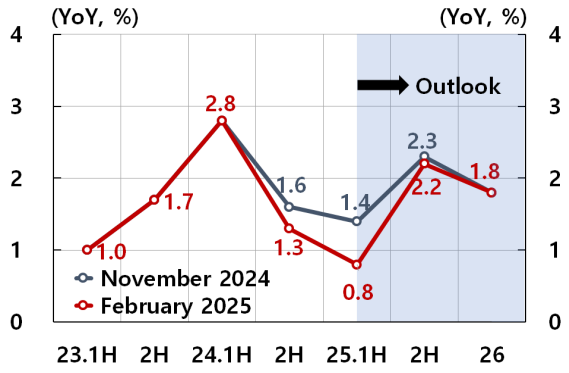
- **In 2026**, despite ongoing uncertainties surrounding the trade environment, economic growth is expected to increase to 1.8% from 1.5% in 2025, driven primarily by a recovery in domestic demand.

Korea's growth outlook by sector[1)]

(%)	2023	2024[e)]	2025[e)]	2026[e)]
GDP	1.4	2.0 [2.2]	1.5 [1.9]	1.8 [1.8]
• Private consumption	1.8	1.1 [1.2]	1.4 [2.0]	1.8 [1.8]
• Goods exports	2.9	6.3 [6.3]	0.9 [1.5]	0.8 [0.7]
• Facilities investment	1.1	1.8 [1.5]	2.6 [3.0]	2.0 [2.1]
• Construction investment	1.5	-2.7 [-1.3]	-2.8 [-1.3]	2.5 [2.7]

Note: 1) [ ] indicates forecasts as of November 2024.
Source: Research Department.

Outlook for GDP growth[1)]



Note: 1) Shaded area indicates projections.
Source: Research Department.

☐ **Consumer price inflation* is expected to be at 1.9% this year, consistent with the November projection, as upside factors associated with the rising KRW/USD exchange rate are offset by downside factors, including low demand pressure and the government's price stability measures.**

* Core inflation is projected to come in at 1.8%, 0.1 percentage points lower than the previous projection of 1.9%.

- Consumer price inflation rose at a slightly faster pace* at the beginning of the year, but it is expected to gradually slow and stay close to its target level due to low demand pressure and the base effect from last year's high agricultural product prices.

  * In January, consumer price inflation rose to 2.2% from 1.9% in the previous month, mainly due to rising petroleum product prices, which were driven by the upward trend of exchange rates and global oil prices. Core inflation also edged up to 1.9% from 1.8%.

☐ **The current account balance is projected to record a surplus of USD 75 billion this year, falling below the previous forecast of USD 80 billion due to recently worsening trade conditions.**

- The **goods account balance** is expected to see its surplus fall from the last projection as export growth slows amid the earlier-than-expected implementation of the U.S. tariff policy. The **services account balance** is forecast to see its deficit narrow moderately, driven by the travel account balance due to slowing overseas consumption of residents amid rising exchange rates.

☐ **The growth in the number of employed persons is expected to decline from 160,000 in 2024 to 100,000 in 2025.**

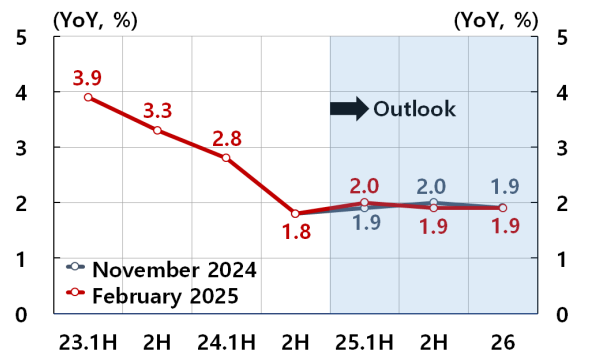
- The persistent slump in employment in the manufacturing sector, depressed investment in construction, and delayed recovery of domestic demand are expected to lead to a deepening of the sluggish employment in the construction and face-to-face service industries. However, the expansion of the government's project to create 60,000 jobs and steady increase in health and welfare sectors are expected to limit the decrease in employment.

Outlook for inflation, current account, and employment[1)]

	2023	2024	2025[e)]	2026[e)]
Headline inflation (%)	3.6	2.3 [2.3]	1.9 [1.9]	1.9 [1.9]
• Core inflation (%)	3.4	2.2 [2.2]	1.8 [1.9]	1.9 [1.9]
Current account (USD 100 million)	328	990 [900]	750 [800]	700 [750]
Increase in number of the employed (10,000 persons)	33	16 [17]	10 [13]	11 [10]

Note: 1) [ ] indicates forecasts as of November 2024.
Sources: Research Department, Statistics Korea.

Outlook for headline CPI[1)]



Note: 1) Shaded area indicates projections.
Sources: Statistics Korea, Research Department.

Risks to the Outlook

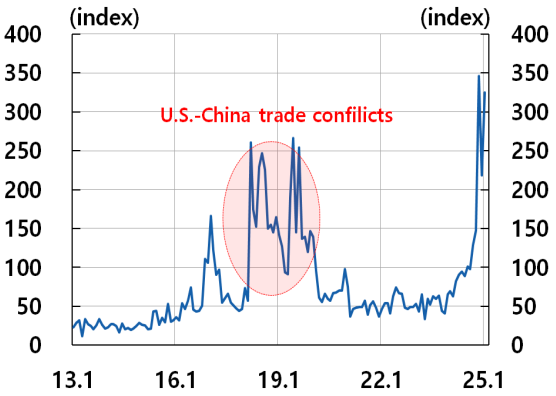
☐ **Considering that the most significant uncertainty regarding the outlook lies in the trajectory of global trade conflicts, we have analyzed alternative scenarios.**

- **Optimistic scenario (early easing of trade conflicts):** If the U.S. imposes lower tariffs on countries other than China this year—in comparison with the baseline scenario—and gradually reduces tariffs through negotiations next year, **GDP growth** is expected to **rise** by **0.1%p this year** and **0.3%p next year** compared to the baseline forecast. The impact on **CPI inflation** is expected to be **limited this year** but could result in a **0.2%p increase next year**.
- **Pessimistic scenario (deepening trade conflicts):** If the U.S. and other countries impose substantial retaliatory tariffs this year and maintain high tariff levels thereafter, resulting in higher elevated uncertainty in the global trade environment, **GDP growth** is expected to **decline** by **0.1%p** this year and **0.4%p** next year relative to the baseline forecast. Regarding **CPI inflation**, the impact is projected to be **limited this year**, but it is estimated to **fall** by **0.3%p** below the baseline next year.

Assumptions on global trade policy

	Major contents
Baseline	‣ Tariffs on China are imposed starting from 25.1Q and be maintained thereafter. ‣ Tariffs on other countries are imposed in 2025 and be eased throughout 2026. ‣ Some countries impose low retaliatory tariffs on the U.S. ‣ Trade Policy Uncertainty eases from 2026 onward.
Optimistic	‣ Tariffs on China eases during 2026. ‣ Tariffs on other countries remains at low-level and ease throughout 2026. ‣ Only China imposes partial retaliatory tariffs on the U.S. ‣ Trade Policy Uncertainty eases from the second half of 2025 onward.
Pessimistic	‣ Tariffs on China and other countries rise sharply during 2025 and remain elevated throughout 2026. ‣ Affected countries impose high retaliatory tariffs on the U.S. ‣ Trade Policy Uncertainty intensifies further.

Trade policy uncertainty index



Source: Caldara et al. (2020).

Growth and Inflation Outlook by scenario

GDP growth rate

(%, %p)	2024	2025e)	2026e)
Baseline	2.0	1.5	1.8
Optimistic scenario		+0.1	+0.3
Pessimistic scenario		-0.1	-0.4

Headline inflation

(%, %p)	2024	2025e)	2026e)
Baseline	2.3	1.9	1.9
Optimistic scenario			+0.2
Pessimistic scenario			-0.3

Sources: Research Department, Office of Economic Modeling & Policy Analysis.

Economic Outlook Summary (Feb. 2025)

	2023	2024			2025e)			2026e)
	Year	H1	H2[5)]	Year[5)6)]	Year	H2	Year[6)]	Year[6)]
Main premises of the baseline outlook								
Global economic growth (%)[1)]	**3.3**	3.2	3.1	**3.2** [+0.1]	3.0	2.9	**2.9** [-0.1]	**2.8** [-0.1]
• United States	**2.9**	3.0	2.6	**2.8** [+0.1]	2.4	1.8	**2.1** [+0.1]	**2.1** [-]
• Euro area	**0.4**	0.4	1.1	**0.7** [-0.1]	0.9	1.1	**1.0** [-0.2]	**1.1** [-0.1]
• China	**5.4**	5.0	5.0	**5.0** [+0.3]	4.3	4.2	**4.2** [-0.1]	**4.0** [-0.1]
• Japan	**1.5**	-0.8	0.9	**0.1** [-]	1.5	0.8	**1.1** [-]	**0.7** [-]
Global trade growth (%)[1)]	**0.8**	2.3	3.7	**3.0** [+0.2]	3.3	2.6	**2.9** [-0.2]	**2.8** [-0.2]
Brent oil price (USD/barrel)[2)]	**82**	83	77	**80** [-]	77	74	**75** [+3]	**71** [+1]
Domestic economic outlook								
GDP growth (%)[1)]	**1.4**	2.8	1.3	**2.0** [-0.2]	0.8	2.2	**1.5** [-0.4]	**1.8** [-]
• Private consumption	**1.8**	1.0	1.3	**1.1** [-0.1]	1.0	1.7	**1.4** [-0.6]	**1.8** [-]
• Construction investment	**1.5**	0.4	-5.5	**-2.7** [-1.4]	-6.7	1.1	**-2.8** [-1.5]	**2.5** [-0.2]
• Facilities investment	**1.1**	-1.8	5.3	**1.8** [+0.3]	5.7	-0.2	**2.6** [-0.4]	**2.0** [-0.1]
• IPP investment	**1.7**	1.5	-0.1	**0.7** [-]	2.5	4.9	**3.7** [-0.2]	**3.1** [-0.1]
• Goods exports	**2.9**	8.4	4.3	**6.3** [-]	0.7	1.2	**0.9** [-0.6]	**0.8** [+0.1]
• Goods imports	**-0.3**	-1.3	3.6	**1.2** [+0.1]	2.0	0.2	**1.1** [-0.8]	**1.9** [-0.1]
Headline inflation (%)[1)]	**3.6**	2.8	1.8	**2.3** [-]	2.0	1.9	**1.9** [-]	**1.9** [-]
• Core inflation[3)]	**3.4**	2.4	1.9	**2.2** [-]	1.8	1.8	**1.8** [-0.1]	**1.9** [-]
Current account (USD 100 million)	**328**	402	589	**990** [+90]	285	465	**750** [-50]	**700** [-50]
• Goods	**377**	459	543	**1,001** [+46]	351	450	**801** [-75]	**781** [-50]
• Services	**-268**	-121	-116	**-237** [-4]	-120	-127	**-246** [+10]	**-266** [-]
• Primary and secondary income	**220**	64	162	**226** [+48]	54	142	**196** [+15]	**185** [-]
Change in number of employed persons (10,000 persons)[1)]	**33**	22	10	**16** [-1]	9	11	**10** [-3]	**11** [+1]
Unemployment rate (%)	**2.7**	3.1	2.5	**2.8** [-]	3.2	2.7	**2.9** [-]	**2.9** [-]
Employment rate (%)[4)]	**62.6**	62.5	62.9	**62.7** [-]	62.5	62.9	**62.7** [-0.1]	**62.7** [-]

Notes: 1) Year-on-year. 2) By period average. 3) Excluding food and energy. 4) Aged 15 and over.
5) World economic growth, World trade growth are projections
6) Figures in [ ] show the changes from projections made in November 2024.
Sources: Bank of Korea, statistics offices in each area, Bloomberg.

I. Macroeconomic Conditions and Outlook

1. Domestic and International Economic Conditions

Global Economy

1.1. The world economy is expected to gradually slow down due to the impact of the U.S. tariff policy on the real economy, financial markets, and overall uncertainty. Recent global economic trends show moderate growth, marked by continued strength in the service sector and a slight improvement[1] in the previously sluggish manufacturing sector. In the fourth quarter of case year, growth rates by country reveal that the United States experienced favorable growth driven by consumption, though its growth has moderated compared to the previous period. China demonstrated significant growth, far surpassing market expectations thanks to the front-loading effect ahead of trade frictions and government measures to boost domestic demand, such as subsidizing the replacement of older consumer durables and equipment with new ones. In the euro area, growth stalled due to the sluggish manufacturing sector and political unrest in Germany and France.

Meanwhile, following the inauguration of the new U.S. administration, significant changes in overall U.S. economic policies on tariffs, immigration, and industries are anticipated. In particular, the tariff policy has progressed much faster than expected. Given the repeated announcements, postponements, and reversals of tariffs,[2] uncertainty surrounding the policy has increased substantially.[3]

Hence, the world economy's vulnerability to the U.S. economy and its economic policies has risen. In particular, the more stringent-than-expected U.S. tariff policy is likely to increase downward pressure on growth. The United States is anticipated to experience growth surpassing its potential, as the benefits of deregulation, anticipated tax cuts, and increased investment in energy and artificial intelligence are likely to mitigate the challenges posed by tariff and immigration policies. However, the unbalanced mix of policies could present risks for both economic growth and price stability. At the same time, other countries are likely to see their economic improvement lose traction due to tight financial conditions,[4] such as high interest rates and a strong U.S. dollar, in addition to the direct tariff shock. Overall, global economic growth is expected to slow gradually toward the second half of the year, as the impact of U.S. economic policies, such as higher tariffs, spreads.

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[1] The global manufacturing PMI, reflecting corporate sentiment in the manufacturing sector, has been on an upward trend since the fourth quarter of 2024 (50.1 in January 2025).

[2] On January 26, 2025, the U.S. government announced tariffs of 25% on Colombian goods, with plans to raise them to 50% within a week, after Columbia refused to accept the return of illegal Columbian migrants deported from the United States. However, the tariff imposition was put on hold within nine hours after Columbia agreed to accept the deportees. On February 1, the United States announced tariffs to be imposed on February 4—25% on Canada (10% for energy), 25% on Mexico, and an additional 10% on China—citing the need to control drugs and illegal immigrants. However, the tariffs were imposed only on imports from China, while those on Canada and Mexico were put on hold for 30 days pending negotiations. On February 10, the U.S. announced additional tariffs of 25% on steel and aluminum imports, effective on March 12.

[3] Recently, the Trade Policy Uncertainty (TPU) index has risen above the highest level reached during the first term of the Trump administration. Moreover, starting April 1, when the investigations of unfair trade practices by trading partners and the economic and trade relationship with China are finalized, uncertainty over the U.S. tariff policy is likely to increase further.

[4] Recently, in international financial markets, long-term interest rates have been rising rapidly, and the U.S. dollar has remained bullish on the back of the solid U.S. economic indicators and high level of policy uncertainty. Going forward, the negative shock of tariffs—price increases and undermined growth—may prompt the U.S. Federal Reserve to suspend rate cuts, triggering risk aversion sentiment and keeping interest rates high and the U.S. dollar strong.

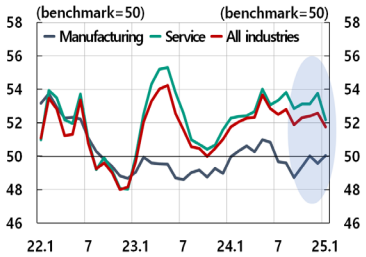
► U.S. 10-year Treasury bond yields (%): 4.28 at end of October 2024 → 4.17 at end of November → 4.57 at end of December → 4.54 at end of January 2025 → 4.44 on February 24

► U.S. dollar index: 103.98 at end of October 2024 → 105.74 at end of November → 108.49 at end of December → 108.37 at end of January 2025 → 106.61 on February 24

Global trade has been gradually improving, driven by goods trade;[5] however, it is projected to moderate due to rising global trade frictions and reduced corporate activity.

Easing sluggishness of global manufacturing, with service sector remaining solid

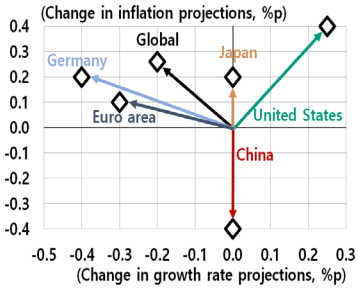
Figure 1.1. Global PMI



Sources: JPM, S&P Global.

Higher growth prospects limited to the U.S.

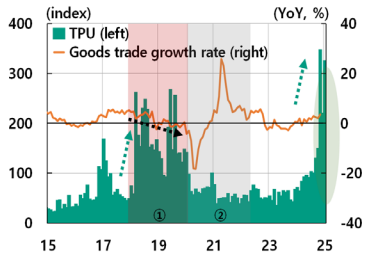
Figure 1.2. Changes[1] in 2025 growth projections by major forecasting agencies



Note: 1) Change in projections (median) of major institutions between November 28, 2024, and February 24, 2025.
Source: Bloomberg.

Growing possibility of global trade frictions

Figure 1.3. Trade policy uncertainty (TPU) index and global goods trade growth rate[1]



Note: 1) ① U.S.-China trade conflicts during the first term of the Trump administration
② Pandemic period.
Sources: Caldara et al. (2020), CPB.

1.2. In the global semiconductor market, while the low-performance semiconductor segment is expected to remain sluggish, high-performance semiconductors for AI and servers are likely to continue their upward trend. However, uncertainty surrounding the technological rivalry among major countries and development of AI technology is considered to be high. Recent market conditions indicate that, high-performance semiconductors such as HBM and DDR5 have grown at a somewhat slower pace following last year's rapid growth, but the rate of growth still remains at a high level. In contrast, the growth of low-performance chips, such as legacy chips, has stagnated due to the delayed recovery of demand for IT devices such as PCs and increased supply from China's manufacturers. Going forward, the global semiconductor market is projected to continue its growth, driven by high-performance products such as HBM, as big tech firms are expected to ramp up their investments this year.[6] However, the recovery in low-performance semiconductors is likely to remain weak. Looking ahead, the global semiconductor industry is expected to be significantly influenced by the pace of AI proliferation and evolution of the technological competition among major countries.[7] The spread of on-device AI and increasing adoption of custom semiconductors (ASIC) present upside risks for the industry.

[5] The efforts of U.S. firms to secure inventory in anticipation of the U.S. tariff policy and front-loading of China and emerging market economies in Asia, concentrated between the end of 2024 and early 2025, are likely to act as short-term upside factors for global trade.

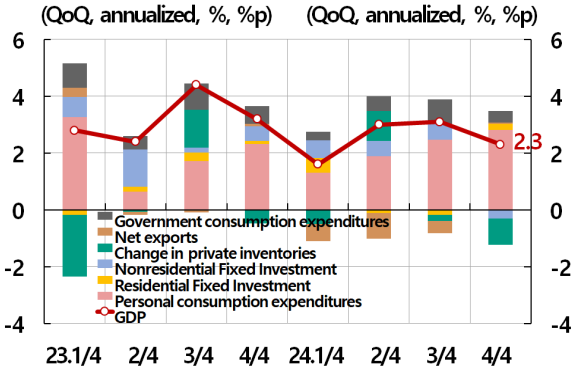
[6] Recently, four major U.S. tech companies—Alphabet, Amazon, Meta, and Microsoft—announced plans to invest USD 320 billion in AI infrastructure this year, marking an increase of over 60% compared to last year (Financial Times, February 6).

[7] As the technology competition between the U.S. and China intensifies, the U.S. government strengthened its restrictions on semiconductor exports to China last December. Additionally, the U.S. government is considering renegotiating subsidies promised to Samsung Electronics and SK Hynix under the CHIPS and Science Act and imposing tariffs on semiconductors (Bloomberg, etc., February 19).

1.3. By major country, the United States economy is expected to show continued favorable growth this year. However, there is a high level of uncertainty surrounding the economic policies of the new administration. The U.S. economy continued its favorable growth in the fourth quarter of 2024, driven by strong consumption and service sector performance.[8] This positive trend is expected to persist in 2025, bolstered by early signs of recovery[9] in manufacturing and planned government's support for substantial investments[10] in energy and AI technologies. However, since the recent announcement of the U.S. tariff policy, signs of trade frictions with major trading partners[11] have emerged. As a result, the economic policies of the new government are likely to significantly heighten uncertainty over the future path of growth. The rise in inflation[12] and adjustment of asset prices, such as stock prices, due to the stronger-than-expected tariff policy are downside risks, while an increase in investment associated with additional deregulation and tax cuts is likely to pose upside risks. Reflecting this uncertainty, expectations regarding market interest rates have been fluctuating based on tariff policy developments, economic indicator announcements, and FOMC meeting results.

U.S. maintains favorable growth in Q4

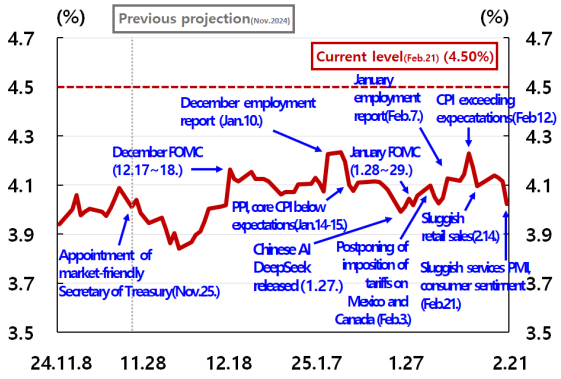
Figure 1.4. Contribution to U.S. GDP growth



Source: BEA.

U.S. expectations for interest rates fluctuate

Figure 1.5. Changes in expected policy rates for December 2025[1)]



Note: 1) Expectations for the policy rate, as indicated by the upper bound of the Fed fund rate futures.
Source: CME FedWatch.

[8] In the fourth quarter of 2024, the increase in personal consumption expenditure accelerated, driven by durable goods such as automobiles and supported by solid employment and advance demand before the imposition of tariffs, leading economic growth to rise from 3.7% in the third quarter of 2024 to 4.2% in the fourth quarter, on a year-on-year annual rate.

[9] ► PMI (S&P) (manufacturing sector): 48.3 in Q3 2024 → 49.2 in Q4 → 51.2 in January 2025 → 51.6 in February (51.4, projected)

[10] President Trump announced the expansion of petroleum and natural gas development in the United States (January 20) and establishment of the Stargate Project, a joint venture among OpenAI, Oracle, and SoftBank focused on the building of AI infrastructure) (January 21).

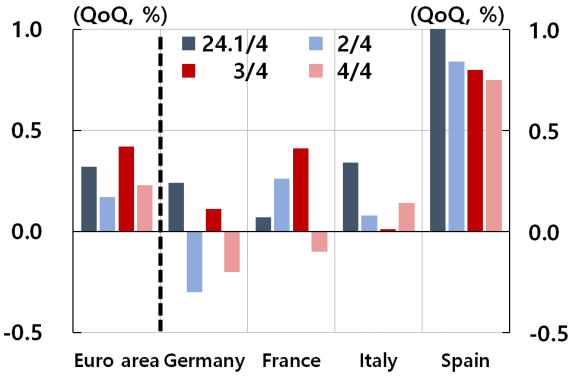
[11] Following the U.S. decision to impose a 25% tariff on imports from Canada(10% on energy resources) and Mexico, as well as an additional 10% tariff on imports from China (effective from on February 1), retaliatory threats from the affected countries heightened concerns over inflationary pressures and economic slowdown. Canada and Mexico have negotiated a 30-day postponement of the U.S.' tariffs. As part of the agreement, Canada has agreed to appoint a 'Fentanyl Czar' and strengthen border surveillance, while Mexico has committed to blocking fentanyl shipments and tightening immigration enforcement. Meanwhile, China has filed a WTO request for consultation on the U.S. tariff measures.

[12] As the timing of the higher tariffs declared by President Trump is assessed to be earlier than expected, concerns over inflation are rising. According to the University of Michigan's consumer survey, one-year inflation expectations have increased from 2.6% in November 2024 to 2.8% in December, 3.3% in January 2025, and 4.3% in February.

1.4. The euro area economy is expected to experience a weak recovery due to the prolonged slump in the manufacturing sector and growing political uncertainty in major countries. In the fourth quarter of last year, euro area economic growth fell short of market expectations, primarily due to the struggling manufacturing sector and weakened economic sentiment,[13] particularly in Germany and France. By country, Spain experienced sustained favorable growth fueled by domestic demand, while Germany and France recorded negative growth due to reduced exports and investment. Although the ECB has reduced interest rates,[14] expectations for further rate cuts have moderated as inflationary pressure has risen, particularly in services and energy.[15] This year, the euro area economy is projected to experience a further slowdown in its recovery due to prolonged sluggishness in the manufacturing sector and ongoing political unrest[16] in Germany and France, despite increasing real household income, supported by the solid labor market and improved financial conditions following eased monetary tightening. Moreover, the new U.S. government's tariff policy is likely to exert downward pressure on future growth.[17]

Euro area growth is primarily constrained by economic performance of Germany and France

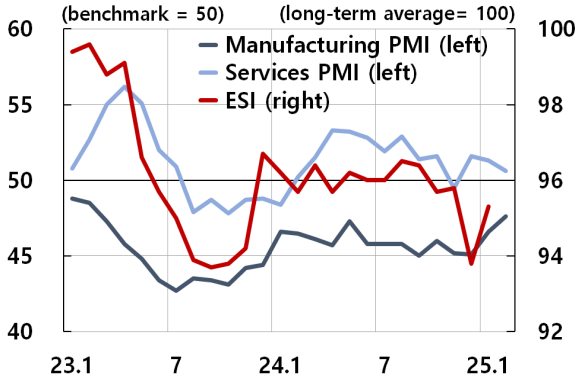
Figure 1.6. GDP growth rate in euro area and major countries



Source: Eurostat.

Manufacturing remains sluggish, and economic sentiment is low

Figure 1.7. Euro area PMI and ESI



Sources: S&P Global, European Commission.

[13] ► Manufacturing PMI (S&P): 46.3 in Q2 2024 → 45.5 in Q3 → 45.4 in Q4
► Economic sentiment index (ESI): 96.1 in Q2 2024 → 96.3 in Q3 → 95.1 in Q4

[14] The ECB reduced its Deposit Facility Rate (DFR) four times in 2024 and further lowered it by 25bp from 3.00% to 2.75% in January 2025.

[15] Market expectations regarding the magnitude of interest rate cuts have declined since November 2024.
► Interest rate embedded in the overnight index swap (OIS) rates (%, December 2025): 1.48 at end of November 2024 → 1.79 at end of December → 1.88 at end of January 2025 → 1.89 on February 24

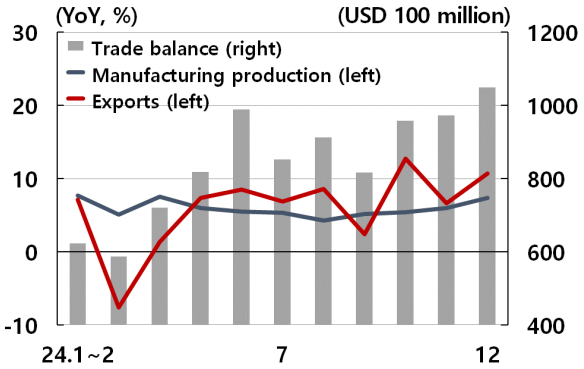
[16] In Germany, despite opposition from the SPD and Green Party, the CDU/CSU, along with the far-right AfD, passed a bill to strengthen immigration control, leading to increased uncertainty over coalition possibilities following the general election. In France, the leftist party resisted the new prime minister's anti-immigration remarks, leading to a temporary halt in budget bill negotiations. Although the budget bill was passed on February 6, political confusion persists.

[17] President Trump stated that the EU has "treated us very badly" and vowed to impose tariffs on the EU, following similar actions against Canada, Mexico, and China on January 31.

1.5. The China's economy has faced downward pressure on its growth due to more stringent trade and industrial regulations from the new U.S. administration, coupled with increased trade pressure from the EU. In the fourth quarter of last year, the China's economy recorded higher than expected growth as a result of favorable production and export conditions, driven by front-loading ahead of the U.S. tariffs on China.[18] Retail sales also improved, with home appliances and automobiles benefiting from the policy to subsidize the replacement of older consumer durables and equipment with new ones. However, as the new U.S. administration imposed an additional 10% tariff on China's products,[19] the government responded with retaliatory tariffs[20] starting on February 4, intensifying the downward pressure on growth. Looking ahead, the China' economy is likely to be impacted, particularly in the external sector, by the more restrictive trade and industrial regulations of the U.S. government.[21] However, the government's active measures to boost domestic demand[22] are expected to offset part of this impact. Regarding the future growth path, amid continued uncertainty depending on how the trade restrictions imposed on China by major countries change, there are upside risks from potential government measures to boost the economy and downside risks from a possible delay in the recovery of domestic demand due to structural vulnerabilities in the China's economy.

Favorable production and exports in China due to front-loading effect

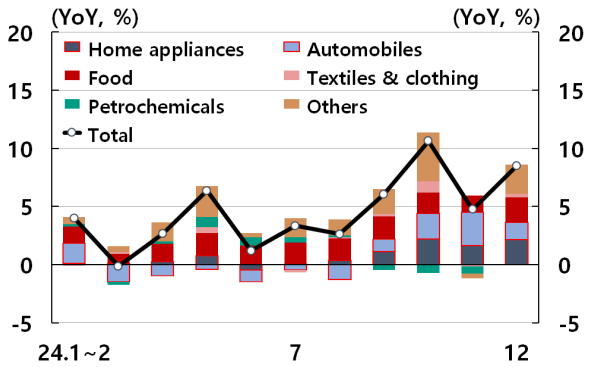
Figure 1.8. Manufacturing production, exports, and trade balance in China



Sources: National Bureau of Statistics of China, General Administration of Customs of the People's Republic of China.

Boost in retail sales from subsidized replacement of consumer durables

Figure 1.9. Contribution to retail sales[1] by item in China



Note: 1) Excluding small firms (main business sales of less than CNY 5 million).
Source: National Bureau of Statistics of China.

[18] China's growth rate in the fourth quarter of last year was 5.4%, the highest rate in six quarters, surpassing the market expectations of 4.8% to 4.9% and reaching its 2024 growth target of 5.0%. The trade surplus in December reached a record high of USD 104.8 billion, driven by the front-loading effect.

[19] The U.S. government considered abolishing the de minimis tax exemption benefit for direct retail purchases of up to USD 800 from e-commerce platforms such as AliExpress, Temu, and Shein, but the exemption remained in place as of February 7, 2024. The European Commission also stated in its communication on February 5 that it is necessary to adopt a customs reform, which involves the removal of duty exemptions for parcels worth less than EUR 150.

[20] On February 10, China imposed retaliatory tariffs on some American products, including an additional 10% on crude oil and pickup trucks and an additional 15% on coal and LNG. China also filed a complaint with the World Trade Organization against the United States, initiating the dispute complaint procedure on February 5.

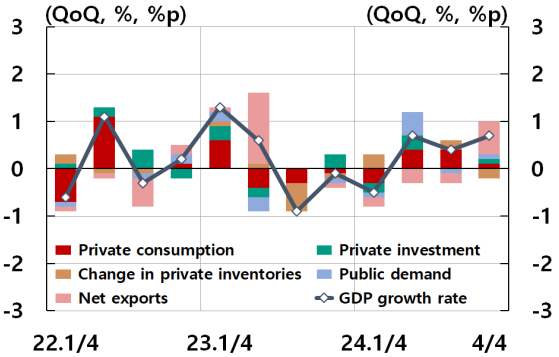
[21] As the U.S.-China technological rivalry in AI intensifies following the launch of DeepSeek's AI model, exports and industrial regulations are expected to become more stringent. The U.S. House Select Committee on China asked the new administration to consider adding Nvidia's H20 AI chips, on which DeepSeek relies, to the China export control list (CNBC, etc. January 30, 2025).

[22] The government has reinforced its commitment to active fiscal and monetary policies to maintain the country's growth momentum. It has expanded subsidies for the replacement of old consumer durables and equipment, increasing the number of eligible home appliances from 8 to 12, and introduced subsidies for digital devices such as mobile phones, tablet PCs, and smartwatches (January 13).

1.6. The Japan's economy is expected to grow beyond its potential rate of 0.4% to 0.6%, driven by consumption and facility investment. In the fourth quarter of last year, the economy recovered gradually, supported by increasing exports and facility investment. Exports have grown, primarily in the service sector, driven by a rising influx of foreign tourists, and facilities investment has climbed, supported by favorable corporate business conditions and improved corporate profits.[23] The Japan's economy is expected to recover, driven mainly by domestic demand, which is supported by improved consumption conditions due to higher real wages,[24] increased demand for facility investment to address labour shortages and foster high-tech industries. However, growth may be hindered by a weakening of household consumption sentiment[25] due to price increases,[26] reduced financial easing following the Bank of Japan's policy rate hikes,[27] and high external uncertainty[28] generated by the new U.S. administration's tariff policy.

Gradual recovery of Japan's economy driven by facilities investment

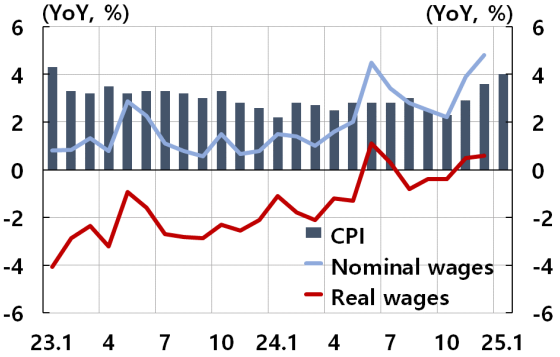
Figure 1.10. GDP growth rate and contributions in Japan



Source: Cabinet Office of Japan.

Improved consumption due to higher real wages

Figure 1.11. consumer price inflation and wage increase rate in Japan



Sources: Ministry of Internal Affairs and Communications of Japan, Ministry of Health, Labor and Welfare of Japan.

[23] (QoQ, %)

	Q1 2024	Q2 2024	Q3	Q4
▶Industrial Production	-5.1	2.7	-0.4	1.3
▶Machinery orders	6.3	7.4	-4.7	5.3
▶Shipping capital goods	-2.0	0.5	-3.9	7.3

Sources: Japan's Ministry of Economy, Trade and Industry, Cabinet Office.

[24] Labor unions in Japan are seeking wage increases of at least 5% in the 2025 spring wage negotiations, and major investment banks, such as JPMorgan and Nomura, anticipate that an agreement will be reached around the level of last year's increase, which was approximately 5.1%.

[25] Recently, fresh food prices have surged due to the summer heat, and energy prices have risen significantly after the reduction of subsidies for gasoline, electricity, and gas.

(YoY, %)	July 2024	August	September	October	November	December	January 2025
▶ Fresh foods	4.2	7.8	5.5	2.1	8.7	17.3	21.9
▶ Energy	12.0	12.0	6.0	2.3	6.0	10.1	10.8

Source: Japan's Ministry of Internal Affairs and Communications.

[26] ▶Consumer confidence index: 37.0 in Q2 2024 → 36.8 in Q3 → 36.3 in Q4 → 36.2 in January 2025

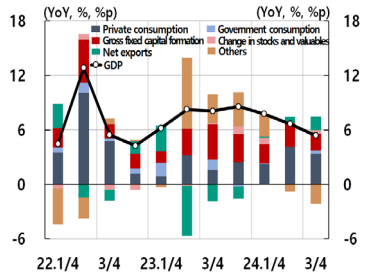
[27] On January 24, the Bank of Japan raised its short-term policy rate from 0.25% to 0.5% due to the outlook for economic growth above the potential economic growth and the upward revision of the inflation forecasts. It also indicated that it would adjust the level of financial easing through additional rate hikes if its economic and price forecasts are realized. As of February 24, the market, reflected in overnight index swaps, anticipated further rate increases totaling about 35 basis points for the remainder of the year.

[28] If the U.S. government's tariffs on Canada and Mexico, currently on hold for 30 days, are implemented, they are expected to negatively impact Japan's automakers with operations in Mexico, including Toyota, Nissan, and Honda.

1.7. Emerging market countries (EMEs) in Asia are projected to maintain their favorable growth, fueled by exports and investment. However, their growth momentum is expected to weaken due to the impact of the U.S. tariff policy. In EMEs in Asia, exports have shown robust growth, driven by IT products,[29] and investment has continued their favorable growth, supported by steadily rising[30] inflows of foreign direct investment.[31] Going forward, EMEs in Asia are likely to continue growing, led by exports and investment and benefiting from the supply chain restructuring. Domestic demand is expected to be supported by central banks' interest rate cuts[32] in line with slowing inflation. However, Vietnam, Thailand, and Malaysia face potential negative impacts from the U.S. tariff policy due to their high shares of exports to both the United States and China. Vietnam, in particular, faces heightened uncertainty regarding tariff details, as it has been accused of serving as a conduit for China's exports to bypass U.S. tariffs.

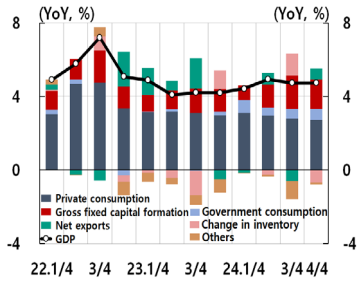
Domestic demand and exports for EMEs in Asia remain favorable

Figure 1.12. GDP growth rate in India



Source: Ministry of Statistics and Programme Implementation of India.

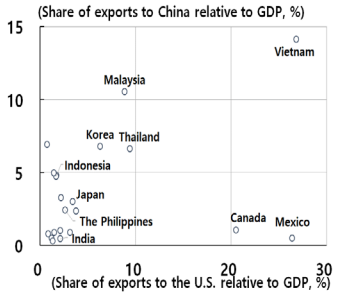
Figure 1.13. GDP growth rates of four ASEAN states[1)]



Note: 1) Excluding Vietnam.
Sources: statistics offices in each area, HAVER.

Vietnam, Thailand, and Malaysia significantly exposed to the U.S. tariff shock

Figure 1.14. Share of exports[1)] of major countries[2)] to the U.S. and China



Notes: 1) Based on 2023 (2022 for Vietnam).
2) G20 (except for Russia) and EMEs in Asia.
Sources: UN Comtrade, IMF.

[29] ► India's electronic devices, electronic parts, and communication devices (YoY, %): 22.7 in Q2 2024 → 16.9 in Q3 → 55.6 in October and November
► ASEAN states' IT product exports

(YoY, %)	Indonesia	Malaysia[2)]	Thailand	Vietnam[2)]
Major items (share)[1)]	Electric and electronic devices (3.0)	Automatic data processing and parts (2.1)	Electronic products (11.5)	Computer and electronic device parts (16.1)
► Oct. → Nov.	52.3 → 37.7	55.4 → 105.9	41.2 → 22.3	21.8 → 29.1

Notes: 1) Share of exports in 2023. 2) November and December.

[30] ► India's exports (YoY, %): 5.9 in Q2 2024 → -4.3 in Q3 → 3.3 in Q4
► Five ASEAN states' exports (YoY, %): 5.5 in Q2 2024 → 10.0 in Q3 → 10.1 in Q4

[31] Consumption and investment in EMEs in Asia

(YoY, %)	India	Indonesia	Malaysia	Thailand	Philippines	Vietnam
► Private consumption[1)2)]	7.4 → 6.0	4.9 → 5.0	4.8 → 4.9	3.3 → 3.4	5.2 → 4.7	7.0 → 7.5
► Gross fixed capital formation[1)2)]	7.5 → 5.4	5.2 → 5.0	15.3 → 11.7	5.2 → 5.1	7.6 → 4.8	7.1 → 8.0

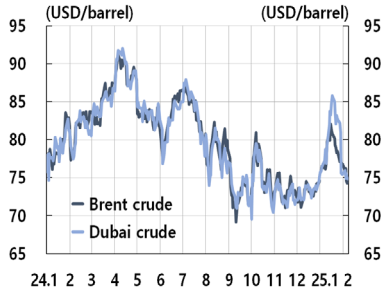
Notes: 1) Q3 2024 → Q4 (Q2 2024 → Q3 for India).
2) For Vietnam, the upper component refers to the sum of private and government consumption, while the lower component represents gross capital formation.
Sources: statistics offices in each area, HAVER.

[32] Expected central bank base rates (currently → end of 2025, %): India 6.25 → 5.75, Philippines 5.75 → 5.0, Indonesia 5.75 → 5.25, Thailand 2.25 → 2.0, Malaysia 3.0 → 3.0, Vietnam 4.5 → 4.5 (Bloomberg, median, as of February 24)

1.8. International oil prices are expected to decline gradually due to favorable supply and demand conditions, though at a slower pace than initially forecast. Recently, international oil prices rose[33] to the USD 80 range by mid-January, driven by concerns over supply disruptions caused by U.S. sanctions[34] on Russian crude oil exports and increased demand for heating during a cold wave. However, prices have recently stabilized back to the mid-USD 70 level. In the coming months, international oil prices are expected to decline gradually due to continued high production in non-OPEC countries, including the United States, and limited crude oil demand resulting from slower economic growth in major countries. However, the rate of this price decline is now projected to be more moderate than previously anticipated. The future trajectory of oil prices is subject to considerable uncertainty, particularly on the supply side, due to potential developments[35] in U.S. foreign policy.

Oil prices fluctuate due to supply concerns

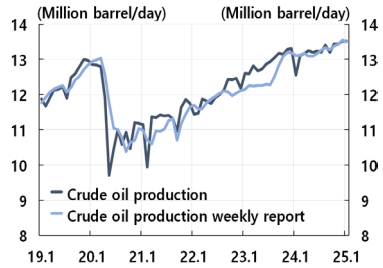
Figure 1.15. Global oil prices



Source: Bloomberg.

U.S. crude production increases steadily

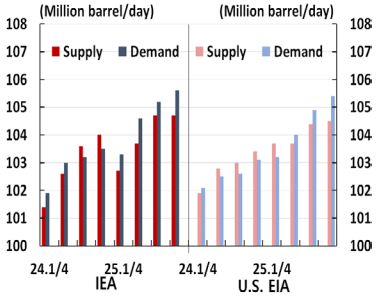
Figure 1.16. Trends of U.S. crude oil production



Source: U.S. EIA.

Favorable crude oil supply and demand conditions expected

Figure 1.17. Global crude supply and demand projection[1)]



Note: 1) As of February 2025.
Source: Bloomberg.

[33] Dubai crude prices rose sharply as India and China, previously major importers of Russian oil, suddenly increased their purchases of Middle Eastern oil.

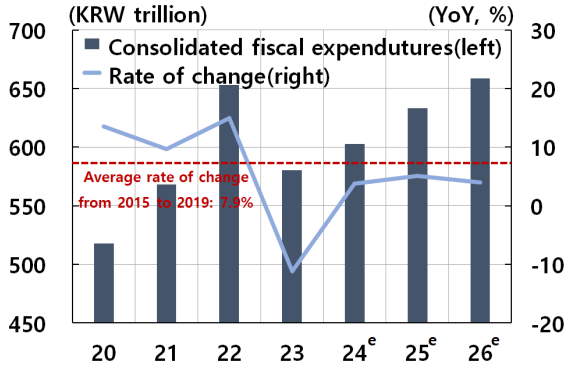
[34] On January 10, 2025, the United States imposed extensive sanctions targeting Russia's energy sector, including designations of major oil companies, related institutions, and over 180 vessels involved in Russian oil exports, with the United Kingdom collaborating on the sanctions.

[35] President Trump's January 23 request for OPEC to increase production acts as a downward force on international oil prices, while the February 4 sanctions on Iran's oil exports and the potential tariff on Canadian crude oil imports serve as upward price factors.

1.9. The consolidated fiscal expenditures of the central government for this year are expected to increase more gradually than in average years. This year's fiscal expenditures[36] are expected to be larger than last year's, considering the size of the main budget of the central government, though, the rate of increase is anticipated to come in below the average rate of past years.[37] However, if a supplementary budget, as discussed by the Ruling-Opposition-Government Consultative Body, is formulated, it will likely increase fiscal expenditures. Looking at the flows of expenditures in the first and second halves of the year, expenditures are expected to be concentrated in the first half under the government's prompt execution plan.[38] The ratio of deficit in the managed fiscal balance is projected to decline from the upper 3% level this year to the upper 2% level next year.[39]

Fiscal expenditures increase gradually

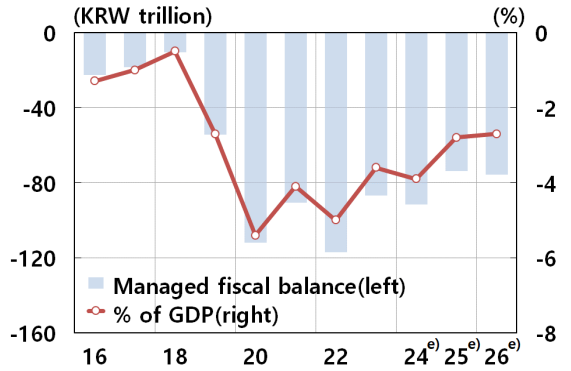
Figure 1.18. Consolidated fiscal expenditure[1] forecast



Note: 1) Figures for 2024 are based on the estimates of the Bank of Korea; for 2025, on the main budget; and for 2026, on the National Fiscal Operation Plan.
Sources: Ministry of Economy and Finance, Bank of Korea.

Ratio of deficit in the managed fiscal balance is projected to decrease gradually

Figure 1.19. Outlook for managed fiscal balance[1]



Note: 1) Figures for 2024 are based on the estimates of the Bank of Korea; for 2025, on the main budget; and for 2026, on the National Fiscal Operation Plan.
Sources: Ministry of Economy and Finance, Bank of Korea.

[36] Fiscal expenditures in 2024 shifted to an increase due to the base effect of the significant decrease in the previous year. However, the rate of increase is estimated to be much lower than in average years (average of 2015-2019, 7.9%) due to the tax revenue shortfall exceeding the initial projection. The national tax revenue shortfall increased from KRW 29.6 trillion (tax revenue re-estimation, September 26, 2024) to KRW 30.8 trillion (national tax revenue, February 10, 2025), as stated in the press releases for the "2024 Gross Tax Revenue and Expenditure Report" and "2024 National Tax Revenue."

[37] The growth rate of consolidated fiscal expenditures is projected to be 5.1% (based on the main budget) in 2025 and 4.0% in 2026 (based on the National Fiscal Operation Plan), both lower than the average of 7.9% from 2015 to 2019.

[38] On January 9, 2025, to support the recovery of people's livelihoods, the government unveiled the "Prompt Budget Execution Plan" for the first half of the year (year-on-year increase of KRW 7 trillion+α), which included the fiscal execution target ratio of 67% for the first half—the highest ever—for projects under the central government's management.

[39] The ratios of the managed fiscal balance and consolidated fiscal balance to GDP for 2022 to 2026 are shown in the table below.

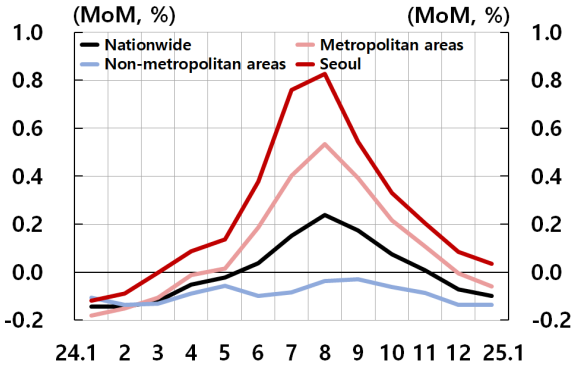
(%)	2022	2023	2024e)	2025e)	2026e)
▶Managed fiscal balance[1]	-5.0	-3.6	High -3	-2.8	-2.7
▶Consolidated fiscal balance[1]	-2.8	-1.5	About -2	-0.8	-1.0

Note: 1) The 2022 and 2023 figures are based on closing accounts, 2024 figures on estimates of the Bank of Korea, 2025 figures on the government budget, and 2026 figures on the National Fiscal Management Plan.
Sources: Ministry of Economy and Finance, Bank of Korea.

1.10. Housing prices, based on the housing price index, have declined gradually since December due to growing political uncertainty amid the government's ongoing macroprudential policies.[40] In the Seoul metropolitan area, housing prices shifted to a decline in January this year due to the sustained impact of banks' stricter lending attitudes and higher lending rates since September last year, coupled with the off-season lulls at the beginning and end of the year and domestic political uncertainty. Housing prices in non-Seoul metropolitan areas have been on a downward trend owing to the accumulation of oversupply, such as unsold new housing.[41] Housing lease (*jeonse*) prices transitioned to a decline, affected by banks' stricter lending attitudes and a massive number of residents moving into new homes in some Seoul metropolitan areas.[42] Monthly rental prices have risen moderately, primarily in the Seoul metropolitan area, due to an increase in monthly rentals[43] caused by rising *jeonse* prices and the impact of incidents of *jeonse* fraud.

Housing prices shifted to a decline from December 2024

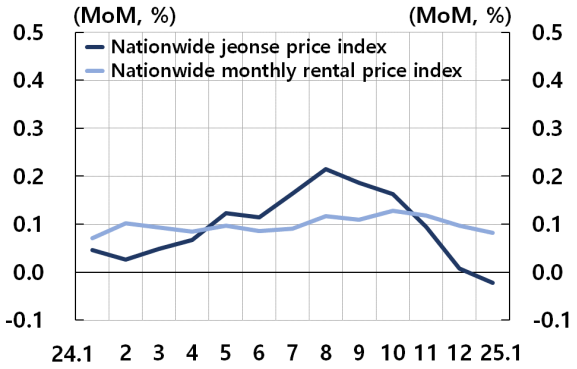
Figure 1.20. Housing price index[1)]



Note: 1) Monthly trends.
Source: Korea Real Estate Board.

***Jeonse* prices shifted to a decline in January 2025, while monthly rents rose slowly**

Figure 1.21. *Jeonse* and monthly rental price index[1)]



Note: 1) Monthly trends.
Source: Korea Real Estate Board.

[40] (MoM, %)

	August 2024	September	October	November	December	January 2025
▶ Nationwide housing price index	0.24	0.17	0.07	0.01	-0.07	-0.10
▶ Home mortgage loan rate (new-loan basis)	3.51	3.74	4.05	4.30	4.25	-

Sources: Korea Real Estate Board, Bank of Korea.

[41] As of December 2024, unsold new housing after construction completion in non-Seoul metropolitan areas reached 17,000 units, the highest number in the four years and six months since June 2020, according to the Ministry of Land, Infrastructure and Transport.

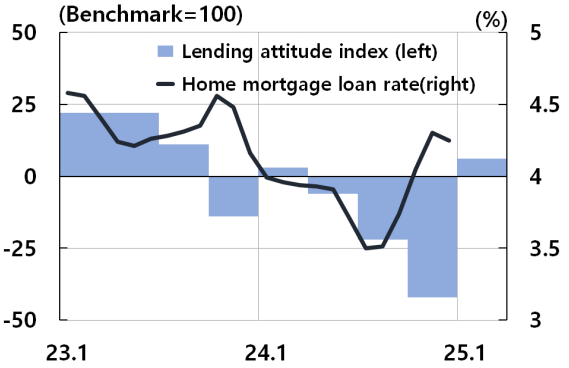
[42] From November 2024 to January 2025 (three months), the move-in began with 12,000 units in Gangdong-gu and 3,200 units in Dongdaemun-gu (Seoul); 4,200 units in Seo-gu and 3,400 units in Bupyeong-gu (Incheon); 3,500 units in Hwaseong-si, 3,300 units in Gwangmyeong-si, and 3,200 units in Paju-si (Gyeonggi-do) (source: Real Estate 114).

[43] Share of monthly rental contracts among *jeonse* and monthly rental transactions: 52.0% in 2022 → 54.9% in 2023 → 57.6% in 2024 (according to the Ministry of Land, Infrastructure and Transport)

1.11. The interplay between factors driving housing prices up and those pushing them down generates considerable uncertainty. While expectations for the easing of household loan conditions[44] and concerns over reduced supply of new apartments[45] may push housing prices higher, the government's consistent efforts to manage household debt[46] and the sluggish housing market in non-Seoul metropolitan areas are likely to exert downward pressure on housing prices.

Lending attitude index eased, and home mortgage loan rates declined

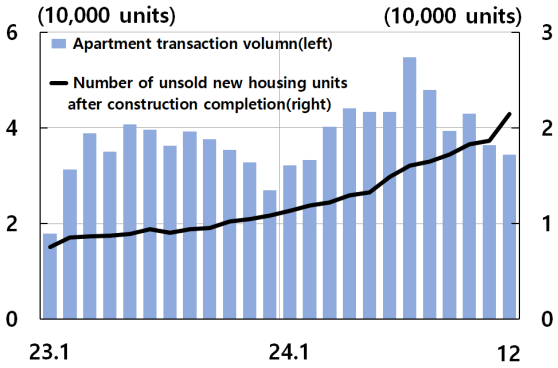
Figure 1.22. Lending attitude index[1] and home mortgage loan rates[2]



Notes: 1) Positive (+) and negative (-) values indicate easing and tightening of lending attitudes.
2) Weighted average interest rates, new-loan basis.
Source: Bank of Korea.

Apartment transactions slowed, and unsold new housing units after construction completion rose

Figure 1.23. Apartment transaction volume and number of unsold new housing after construction completion



Sources: Ministry of Land, Infrastructure and Transport, Korea Real Estate Board.

[44] In a quarterly loan practice survey (January) conducted for loan officers of financial institutions by the Bank of Korea (Financial Stability Department), it was found that domestic banks' lending attitudes for households' housing loans will be eased from -42 in the second quarter of 2024 (status) to 6 (projection) in the first quarter of 2025.

[45] (10,000 units)

	Q4 2024	Q1 2025	Q2	Q3	Q4	Average for 2015-2024
► Nationwide move-in volume	9.6	8.5	6.7	5.0	6.5	9.0

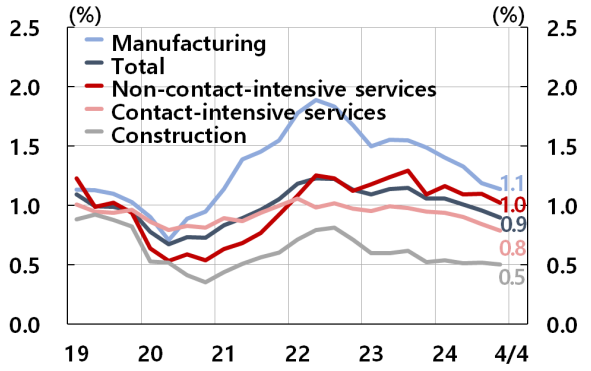
Source: Real Estate 114.

[46] To manage annual household debt growth rates within the nominal GDP growth rate, the Financial Services Commission will monitor household loan trends by month, quarter, and year. It will also implement the third-phase DSR regulations for a broadened range of products subject to regulations and an increased stress interest rate in July (Financial Services Commission business plan, January 8, 2025).

1.12. Labor market tightness is deemed to be easing. In the fourth quarter, the job vacancy rate declined across the manufacturing, construction, and service sectors. Meanwhile, the unemployment rate increased as job separation-to-unemployed rate rose and job finding-from-unemployed rate declined following the end of the government's job creation project. As a result, labor market tightness (job vacancy rate / unemployment rate) has also eased to the level of its long-term average (0.33, 2014-2023).[47]

Job vacancy rate continued to fall

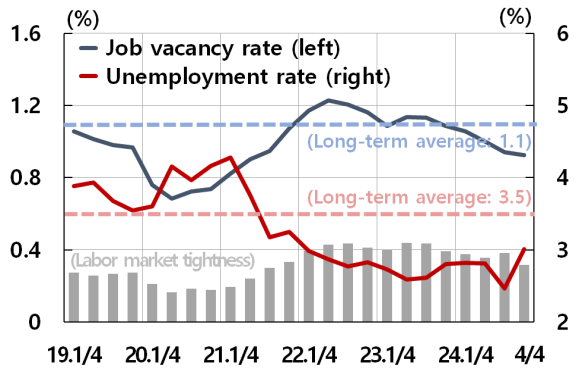
Figure 1.24. Job vacancy rate by sector



Source: Ministry of Employment and Labor.

In Q4, job vacancy rate declined, and unemployment rate rose

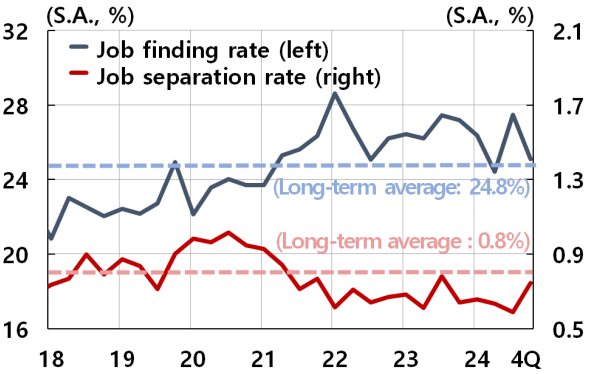
Figure 1.25. Decomposition of labor market tightness



Sources: Statistics Korea, Ministry of Employment and Labor, Research Department.

In Q4, job separation rate rose, and job finding rate declined

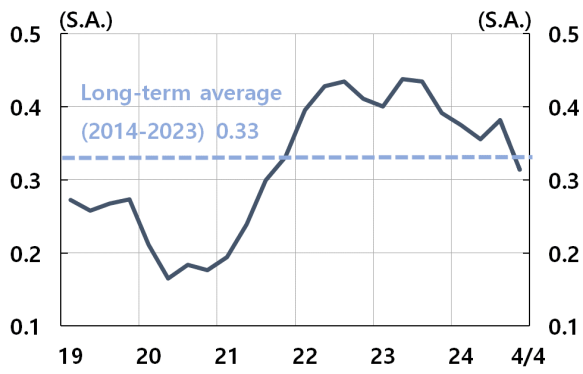
Figure 1.26. Factors of change in unemployment rate (job finding rate[1] and job separation rate[2])



Notes: 1) Probability of going from unemployed to employed in one month.
2) Probability of going from employed to unemployed in one month.
Sources: Statistics Korea, Ministry of Employment and Labor, Research Department.

Labor market tightness eased to its long-term average

Figure 1.27. Labor market tightness[1]



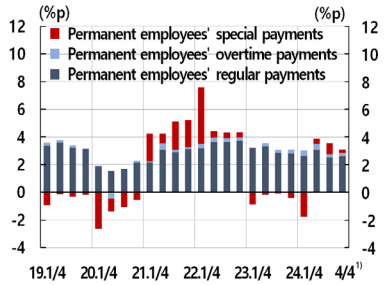
Note: 1) Job vacancy rate / unemployment rate.
Sources: Statistics Korea, Ministry of Employment and Labor, Research Department.

[47] The number of unemployment benefit applicants, job vacancy rate, tightness (v/u), job separation rate, and number of temporary and daily workers are analyzed to be leading indicators of domestic demand.

1.13. This year, the nominal wage growth rate is expected to reach the mid-3% level in the first half of the year and then moderate in the second half. Last year's nominal wage recovery, spurred by special payments, faltered in the fourth quarter (based on data from October and November).[48] Due to the continued easing of labor market tightness, the growth rate of permanent employees' regular payments, which indicates the underlying trend of wage flows, is expected to dip below its long-term average of 3.5% (2014-2023) this year. The growth rate of special payments is predicted to remain favorable until the first half of the year due to improved corporate results last year. In the second half, however, its growth is forecast to slow as the impact of sluggish corporate earnings this year emerges over time.

Improvement of permanent employee wages faltered

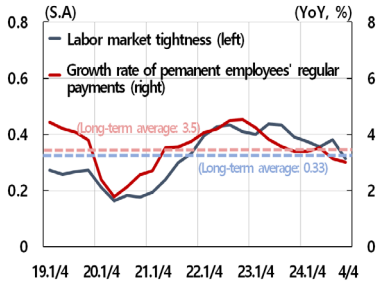
Figure 1.28. Decomposition of contribution to permanent employee wage growth rate



Note: 1) Average of October and November for the fourth quarter.
Sources: Ministry of Employment and Labor, FnGuide.

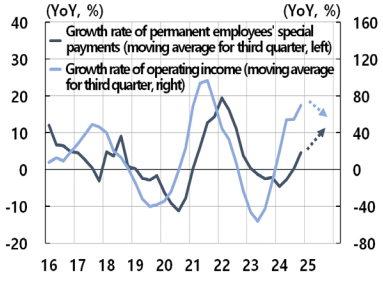
Permanent employees' regular payments fell below the long-term average

Figure 1.29. Permanent employees' regular payments and labor market tightness



Permanent employees' special payments expected to slow in the second half

Figure 1.30. Permanent employees' special payments and corporate operating income



[48] (YoY growth rate, %)

	Q4 2023	Q1 2024	Q2 2024	Q3 2024	Oct-Nov 2024
► Nominal wages	2.5	1.3	3.6	3.4	2.9
(Permanent employees' regular payments)	3.4	3.4	3.5	3.1	3.0
(Permanent employees' special payments)	-3.4	-10.0	5.2	5.6	3.0
► Real wages	-0.9	-1.7	0.9	1.3	1.5

1.14. Since November 2024 projection, long-term market interest rates have declined due to growing expectations for the easing of monetary policy following continued base rate cuts and intensifying concerns over a domestic economic downturn. The 3-year Treasury bond yield fell to around 2.5%, reflecting the policy rate cut in November 2024 and concerns over a domestic economic downturn. However, the yield then reversed its decline as expectations for a delay in rate cuts by the U.S. Federal Reserve emerged, driven by favorable U.S. employment indicators and vigilance regarding inflation. The corporate bond credit spread (AA-, 3-year) had widened somewhat due to seasonal factors such as book closing at yearend and then narrowed back to the spread seen at the time of the November projection, after institutions executed investment funds at the beginning of the year.[49] Stock prices fell sharply in December 2024 due to increased political uncertainty. This year, however, stock prices have rebounded significantly as investors seek profits from low valuations. Since mid-January this year, stock price volatility has increased due to uncertainty[50] surrounding the new U.S. government's tariff policy and concerns about excessive investment in AI amid the rising prominence of DeepSeek. The KRW/USD exchange rate rose significantly after the last projection due to several factors: weakening expectations for rate cuts by the U.S. Federal Reserve, strengthening of the U.S. dollar in global markets related to trade policies around the U.S. presidential election, and net selling of domestic stocks by foreign investors.

Long-term interest rates declined overall since November 2024

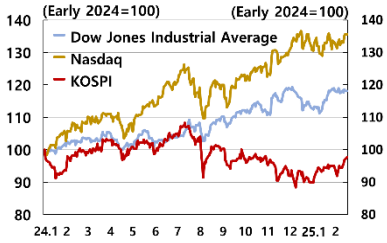
Figure 1.31. Korea and U.S. Treasury bond yields



Sources: Bank of Korea, Bloomberg.

Stock prices rebounded after a fall

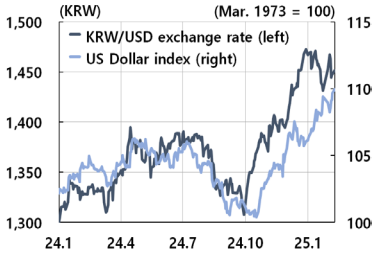
Figure 1.32. Stock prices in Korea and the U.S.



Sources: Bank of Korea, Bloomberg.

KRW/USD exchange rate rose substantially

Figure 1.33. KRW/USD exchange rate and U.S. Dollar Index



Sources: Bank of Korea, Bloomberg.

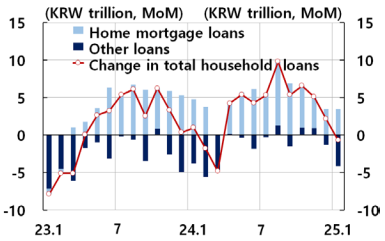
[49] ▶ Corporate bond credit spread (AA-, 3-year, bp): 74 at end of 2023 → 46 at end of June 2024 → 58 on November 27 → 68 at end of December → 59 on February 7, 2025

[50] Stock prices tumbled as the United States announced its plan to impose 25% tariffs on Canada and Mexico and a 10% tariff on China, resulting in a 2.5% drop on February 3. However, prices rebounded substantially, gaining 1.1% on February 4, following a decision to postpone the tariffs on Canada and Mexico for 30 days.

1.15. Since November 2024, the growth of household loans has slowed, and corporate funding has increased at a slower pace. Due to the ongoing impact of the government's macroprudential policies,[51] the increase in household loans from financial sectors moderated starting in September last year, eventually leading to a decrease of KRW 0.8 trillion over 10 months as of January this year. This shift is attributed to a slowdown in housing-related loans amid declining housing transactions[52] and a substantial reduction in other loans due to seasonal factors.[53] Similarly, corporate loans have also increased at a slower pace since November last year. This is likely due to various factors, including an overall decline in corporate demand for funds caused by increased economic uncertainty both domestically and internationally, persistent challenges faced by sole proprietors, and sluggish regional real estate markets. Additionally, banks have curtailed lending, particularly to small and medium-sized enterprises, to manage profitability, maintain asset quality,[54] and improve capital ratios.[55] Direct finance remained sluggish due to contracted investment amid rising uncertainty both domestically and internationally as well as year-end book closings by institutions. However, with the start of the new year, institutions resumed their investments, leading to an increase in corporate direct funding, primarily through short-term instruments such as commercial papers (CPs) and short-term corporate bonds.

Growth of household loans continues to slow

Figure 1.34. Change in household loans[1)2)]



Notes: 1) Deposit-taking banks and non-bank financial institutions.
2) Excluding policy loans from the Housing and Urban Fund (own resources).
Source: Bank of Korea.

Increase in banks' corporate loans remains low

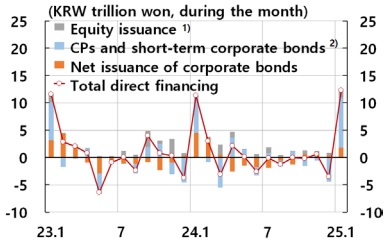
Figure 1.35. Change in banks' corporate loans[1)] to companies



Note: 1) Based on loans at deposit-taking banks.
Source: Bank of Korea.

Corporate direct financing remains sluggish

Figure 1.36. Direct corporate financing



Notes: 1) Including P-CBO.
2) Based on general companies.
Source: Bank of Korea.

[51] After August 2024, commercial banks took various measures to contain household loan growth, including increasing spreads, imposing home mortgage loan restrictions on holders of multiple homes, suspending mortgage insurance services, shortening the longest maturity for home mortgage loans, placing restrictions on *jeonse* loans with conditions, and cutting unsecured loan limits.

[52] ► Apartments in Seoul (1,000 units): 8.9 in July 2024 → 6.3 in August → 3.1 in September → 3.6 in October → 3.2 in November → 3.0 in December
► Housing nationwide (10,000 units): 6.0 in July 2024 → 5.4 in August → 3.9 in September → 4.9 in October → 4.0 in November → 3.6 in December

[53] Other loans shifted to a decrease due to sale and write-off of non-performing loans at year-end. At the beginning of the year, they continued to decrease as a result of an increase in the redemption of unsecured loans, spurred by inflows of bonus payments related to performance and holidays.

[54] Banks expanded the sale and write-off of non-performing loans to SMEs with high delinquency rates for credit risk management, increasing from KRW 4.8 trillion in 2023 to KRW 6.8 trillion in 2024, and strengthened loan screening for sectors with relatively high delinquency rates.

[55] Financial holding companies faced increasing pressure to manage their capital ratios as they pursue stock value appreciation strategies and navigate rising exchange rates. Consequently, these companies have become more inclined to reduce their loans to SMEs, which typically carry higher risk weight.

Main Premises of the Baseline Outlook

Global economic growth rate (%): 3.3 in 2023 → 3.2 in 2024 (up 0.1) → 2.9 in 2025 (down 0.1) → 2.8 in 2026 (down 0.1)

The **global economic growth** forecasts for 2025 and 2026 have each been lowered by 0.1 percentage points to reflect impact of the U.S. tariff policy.

Given the recent favorable growth and new government's massive investment plan, the growth forecast for **the United States** for 2025 has been raised by 0.1 percentage points. In **the euro area**, the growth forecasts for 2025 and 2026 have been adjusted down by 0.2 percentage points and 0.1 percentage points, respectively, due to an anticipated weak recovery stemming from manufacturing sluggishness and political unrest in Germany and France. The growth projections for **China** for 2025 and 2026 have each been reduced by 0.1 percentage points, reflecting the increased downward pressure from trade conflicts with major countries.

Global trade growth (%): 0.8 in 2023 → 3.0 in 2024 (up 0.2) → 2.9 in 2025 (down 0.2) → 2.8 in 2026 (down 0.2)

Due to anticipated rising global trade frictions and contraction of corporate activity in the second half of the year, the global trade growth forecasts for 2025 and 2026 have been cut by 0.2 percentage points each.

Global oil prices (Brent crude, USD/barrel): 82 in 2023 → 80 in 2024 → 75 in 2025 (up 3) → 71 in 2026 (up 1)

While global oil prices are expected to decline gradually to around the USD 70 range as a result of the easing of supply and demand conditions, the supply-side uncertainty associated with U.S. external policy has led to an upward adjustment of the global oil price forecasts for 2025 and 2026 by USD 3 and USD 1, respectively.

	2023	2024			2025e)			2026e)
	Year	H1	H2[3)]	Year[3)4)]	H1	H2	Year[4)]	Year[4)]
Main premises of the baseline outlook								
Global economic growth (%)[1)]	**3.3**	3.2	3.1	**3.2** [+0.1]	3.0	2.9	**2.9** [-0.1]	**2.8** [-0.1]
• United States	**2.9**	3.0	2.6	**2.8** [+0.1]	2.4	1.8	**2.1** [+0.1]	**2.1** [-]
• Euro area	**0.4**	0.4	1.1	**0.7** [-0.1]	0.9	1.1	**1.0** [-0.2]	**1.1** [-0.1]
• China	**5.4**	5.0	5.0	**5.0** [+0.3]	4.3	4.2	**4.2** [-0.1]	**4.0** [-0.1]
• Japan	**1.5**	-0.8	0.9	**0.1** [-]	1.5	0.8	**1.1** [-]	**0.7** [-]
Global trade growth (%)[1)]	**0.8**	2.3	3.7	**3.0** [+0.2]	3.3	2.6	**2.9** [-0.2]	**2.8** [-0.2]
Brent crude price (USD/barrel)[2)]	**82**	83	77	**80** [-]	77	74	**75** [+3]	**71** [+1]

Notes: 1) Year-on-year. 2) Period average. 3) Figures for global economy and global trade are projections.
4) Figures in [ ] indicate change from assumption made in November 2024.
Sources: statistics offices in each area, Bloomberg, Bank of Korea.

2. Macroeconomic Outlook for Korea

Baseline Scenario for Domestic Political Uncertainty and U.S. Tariff Policy

☐ **Domestic political uncertainty** persists through the first quarter of this year but gradually eases from the second quarter onward, leading to economic sentiment to recover to previous levels in the latter half of this year.

☐ **The United States imposes tariffs** on major trade deficit countries during this year*.

*Compared to the previous outlook, the tariff policy is expected to ① be implemented **earlier**, ② likely include a **larger hike**, and ③ **heighten uncertainty** in the global trade environment.

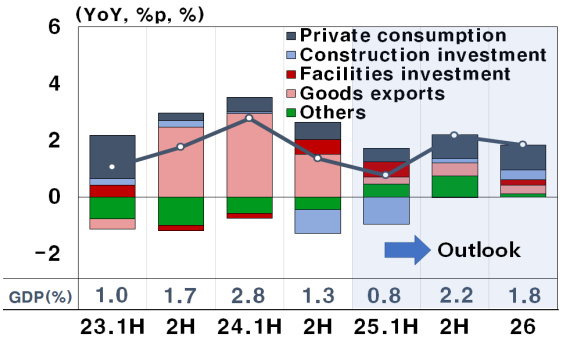
Economic Growth

2.1. GDP growth is projected to be at 1.5% this year, constrained by intensified downward pressure on both exports and domestic demand due to global trade conflicts and domestic political uncertainty. In the fourth quarter of last year, quarter-on-quarter GDP growth reached only 0.1%, falling short of the initial 0.5% forecast. This underperformance was driven by a slowdown in domestic demand recovery, as economic sentiment weakened following the declaration of emergency martial law and the passenger plane crash. This year, the lingering impact of weakened sentiment, combined with temporary factors such as adverse weather conditions, is expected to result in subdued growth in the first quarter. Subsequently, as political uncertainty gradually dissipates and the effects of eased financial conditions materialize, domestic demand is anticipated to recover modestly. However, a deteriorating trade environment is likely to limit the economy's growth trajectory. In summary, this year's growth rate is forecast at 1.5%, marking a significant slowdown from last year's 2.0%.

Looking ahead to 2026, while adverse external conditions will remain a primary drag on growth, a modest recovery in domestic demand is expected to support a GDP growth rate of 1.8%, aligning with initial projections.

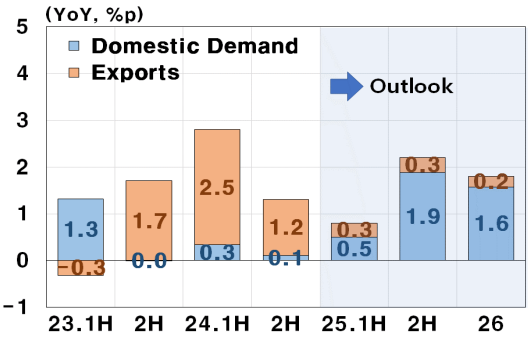
Despite a slowdown in export growth, the economy is expected to recover gradually, supported by domestic demand, from the second quarter onward

Figure 2.1. Contribution of expenditure sector



Source: Research Department.

Figure 2.2. Contribution of domestic demand and exports to net growth[1)]

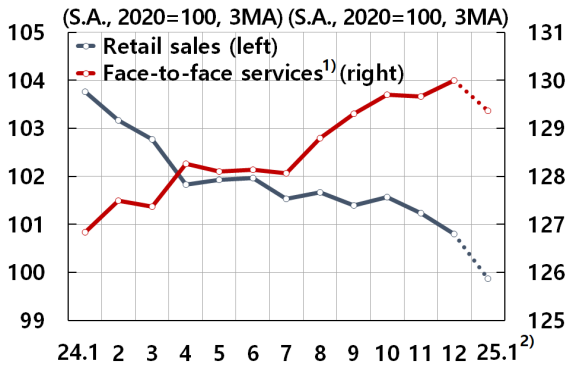


Note: 1) Estimated by excluding impact on imports.
Source: Research Department.

2.2. By sector, private consumption remains sluggish due to contraction in economic sentiment. However, from the second quarter onward, it is expected to recover gradually as political uncertainty subsides and financial conditions ease. In the fourth quarter of last year, private consumption slowed significantly due to an unexpected spike in political uncertainty and weaker improvement in household income.[56] With economic sentiment remaining subdued entering this year, combined with temporary harsh weather conditions, including heavy snowfall and cold waves early in the year,[57] growth in private consumption remains slower than initially anticipated. Going forward, private consumption is expected to remain sluggish for some time but gradually improve as sentiment recovers and the effects of previous interest rate cuts take hold. However, deterioration of the global trade environment may constrain the pace of recovery in private consumption through contracting economic sentiment and employment, as well as hampering improvement of household income. Against this backdrop, private consumption is projected to grow by 1.4% this year, only slightly higher than the 1.1% last year, and then rise to 1.8% next year. Meanwhile, the release of new smartphone models(e.g. Samsung Galaxy S25),[58] reduction in the individual consumption tax rate on automobiles in the first half (from 5% to 3.5%), and front-loaded execution of the government spending are upside factors for growth in the first quarter.

Consumption has been sluggish recently due to contracted sentiment and weather conditions

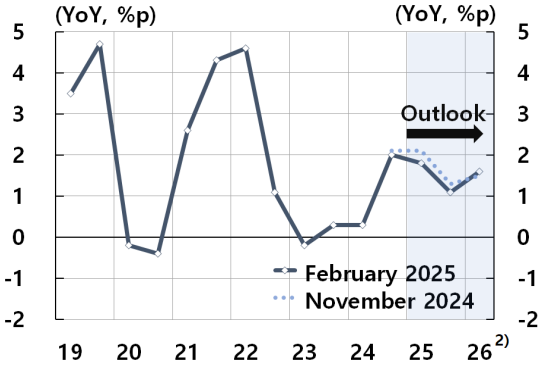
Figure 2.3. Recent trends of retail sales and face-to-face services



Notes: 1) Estimated by authors by summing up data of service sectors related to transportation, warehousing, accommodation and food, education, arts, and sports and leisure.
2) Figures for January 2025 are estimated by the Research Department of the Bank of Korea.
Sources: Statistics Korea, Research Department.

Improvement in households' consumption capacity weakens

Figure 2.4. Real household labor income[1)]



Notes: 1) Number of employed persons × per-capita average wages / consumer price index.
2) The figure for 2026 refers to the entire year.
Sources: Ministry of Employment and Labor, Statistics Korea, Research Department.

[56] The growth rate of nominal wages in November 2024 decreased from the previous month due to a decline in special payments (3.4% in October to 2.3% in November, year-on-year), and the number of employed persons in December fell by 52,000 year-on-year.

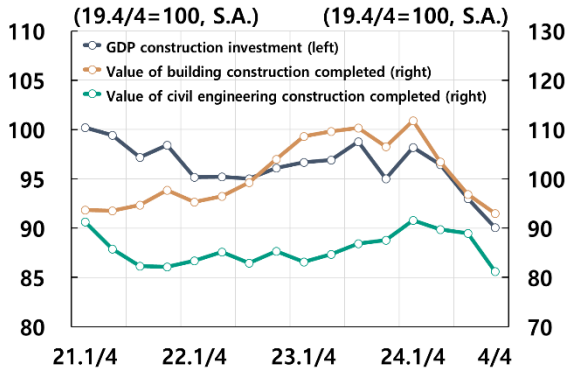
[57] Number of days with heavy snowfall advisories (with figures in < > being number of advisories): 13 days in January 2024 <66> → 17 days in January 2025 <121> → 9 days in February (1-13th) <90>
Average minimum temperature (℃): -3.4 in January 2024 → -5.0 in January 2025 → -7.1 in February (1-13th)

[58] Sales of smartphones, which have an average replacement cycle of 3.5 years, have continued to decline after increasing sharply in 2021 (communications device retail sales index (2020=100): 110.6 in 2021 → 104.5 in 2022 → 100.2 in 2023 → 99.6 in 2024). However, domestic pre-orders of a recently-launched product recorded the highest level since 2019.

2.3. Construction investment is expected to remain sluggish this year, given the previously declines in construction orders and starts. In the fourth quarter of last year, construction investment fell sharply driven by the sustained effects of non-performing real estate project financing (PF) restructuring, along with a drop in new housing sales[59] amid heightened uncertainty at the end of the year. Taking into consideration the build-up of declines in construction orders in the past(especially between 2022 and 2023[60]), persisting impact of real estate PF restructuring, and reduction in the government's annual SOC budget compared to last year,[61] construction investment is forecast to contract further this year. However, a gradual recovery, starting from a low level, is expected in the second half, supported by improvement in leading indicators observed last year slowly taking effect and financial conditions becoming more accommodative. As a result, construction investment is expected to fall by 2.8% this year, following a 2.7% decline last year, before rebounding by 2.5% next year. On another note, front-loaded government fiscal spending[62] in the first half and concentrated completion of apartment projects[63] are upside factors that could support construction investment in the first quarter of this year.

Construction investment has decreased since the first quarter of last year

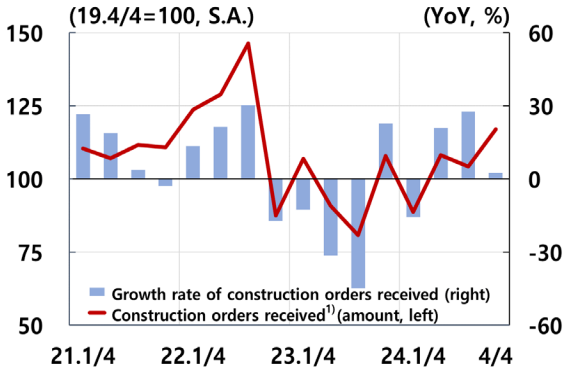
Figure 2.5. GDP construction investment[1] and value of construction completed[1]



Note: 1) Based on real value.
Sources: Bank of Korea, Statistics Korea.

The impact of decreased construction orders and starts is likely to persist for some time

Figure 2.6. Construction orders[1]



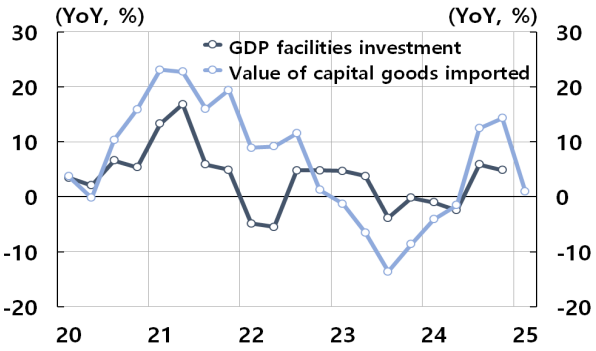
Note: 1) Based on nominal amount.
Source: Statistics Korea.

[59] In December last year, sales of new apartments (21,000 units) were well below the initially projected 25,000 units.
[60] Construction orders (nominal value, YoY, %) decreased by 17.2% in the fourth quarter of 2022 and by 18.5% in 2023, before shifting to an increase of 7.2% in 2024 primarily in the second half.
[61] The SOC budget for 2025 was set at KRW 24.5 trillion, down by KRW 1 trillion compared to last year. In addition, according to the 2025 Economic Policy Direction announced on January 2, construction starts for the third phase of the New Town Construction Project, which plans to build a total of 173,000 housing units, will only be 12,000 units in 2025, which is similar to last year's 10,000 units.
[62] For the first half of this year, front-loaded execution of the SOC budget is expected to be similar to or higher than last year (71% in the first half, over 43% in the first quarter), and a supplementary budget, which includes additional SOC budget, is under consideration.
[63] As a significant portion of this year's planned new apartment supply is concentrated in January (14.2%, the highest for the year), there is a possibility that the value of construction completed will show a sharp and temporary rise in the first quarter.

2.4. Facilities investment is projected to increase gradually this year, mainly driven by investment in semiconductor manufacturing equipment. In the fourth quarter of last year, facilities investment continued to improve mostly for semiconductor manufacturing equipment related to advanced node processes. Looking ahead, major corporations are expected to maintain their investment[64] in AI, advanced processes, and production line upgrades. However, overall facilities investments may face constraints due to uncertainties surrounding trade policies of major economies and higher prices of imported capital goods driven by rising exchange rates. Consequently, facilities investment is expected to grow by 2.6% in 2025 and 2.0% in 2026.

Facilities investment continued to increase in the fourth quarter of 2024, led by semiconductor manufacturing equipment

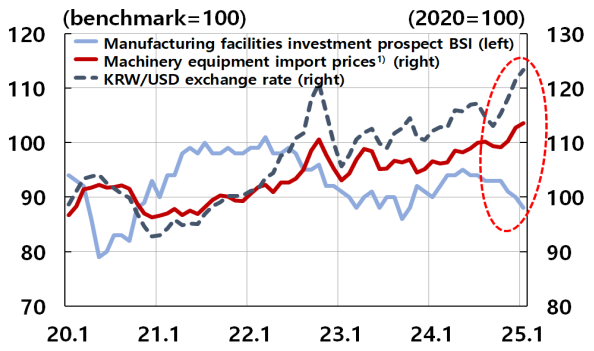
Figure 2.7. GDP facilities investment[1)] and value of capital goods imported[2)]



Notes: 1) Based on read GDP value.
2) January for the first quarter of 2025.
Sources: Bank of Korea, Korea Customs Service.

Corporate investment conditions and sentiment deteriorated

Figure 2.8. Exchange rates, import prices of capital goods, and manufacturing BSI



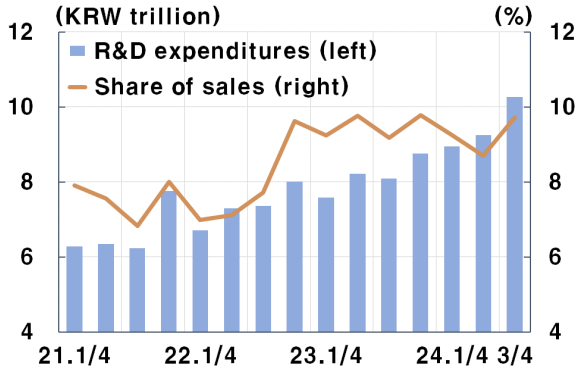
Note: 1) Import price index (KRW).
Source: Bank of Korea.

[64] On January 31, Samsung Electronics announced plans to invest this year on a scale similar to last year's as it continues its transition in the memory sector toward advanced processes focused on high-value-added products such as HBM, DDR5, and SSDs for servers. Similarly, on January 23, SK Hynix stated that it will increase its investment from the upper-middle KRW 10 trillion range of last year, focusing on HBM and infrastructure. On January 9, Hyundai Motor Group announced plans to invest KRW 24 trillion this year, marking its highest investment ever.

2.5. Intellectual property product (IPP) investment is expected to show stronger growth this year, driven by sustained R&D spending from major corporations seeking to maintain their technological edge and the increase in government's R&D budget. Despite strong growth in R&D investment by major firms[65], IPP investment grew only by 0.7% last year, well below the historical average of 4.7% between 2010 to 2019, largely due to continued moderation in software investment following the surge during the pandemic. Looking ahead, IPP investment is expected to regain its growth momentum this year as corporations continue to increase their R&D investments to maintain technological edge amid intensifying global competition[66] and the government's R&D budget increased significantly compared to last year. As a result, IPP investment is projected to increase by 3.7% this year and 3.1% next year. The government's drive to expand R&D support[67] is an upside risk for IPP investment, whereas the potential deterioration of corporate earnings from changes in the global trade environment poses downside risk.

R&D investment of major companies continues to expand

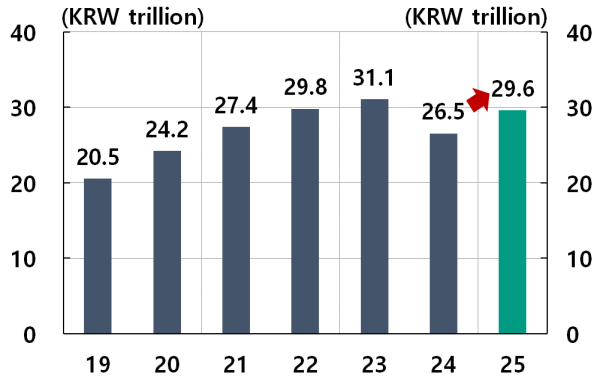
Figure 2.9. R&D expenditures by top five companies[1)]



Note: 1) Includes Samsung Electronics, SK Hynix, Hyundai Motor Company, Hyundai Mobis, and LG Electronics in terms of R&D expenditures.
Source: Dart.

The increased government's R&D budget for this year, expected to accelerate IPP investment

Figure 2.10. Government's R&D budget



Source: Open Fiscal Data, Ministry of Economy and Finance.

[65] R&D expenditures of listed manufacturing firms increased by 14.6% year-on-year until the third quarter of last year. In the fourth quarter, R&D expenditures of major semiconductor manufacturers, which accounted for 31.2% of total R&D expenditures in 2023, rose by 37.3% year-on-year.

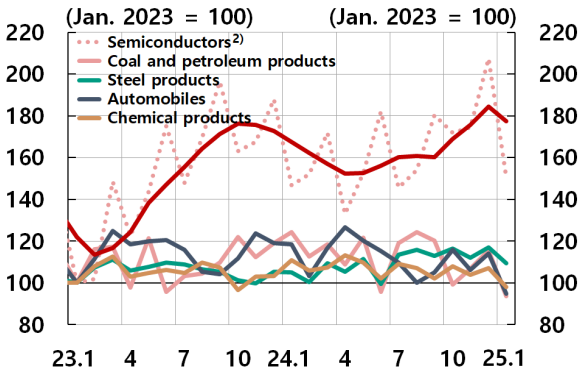
[66] Early this year, major automaker announced its plan to expand their investments by a significant margin (KRW 3.9 trillion) in 2025, focused on R&D investment in software platforms, and major semiconductor companies also pledged to continue its efforts to secure technological leadership this year.

[67] As the importance of R&D has been recognized after DeepSeek's AI model was unveiled in January 2025, arguments that R&D budgets should be included in this year's supplementary budget have emerged among the politicians. Apart from this, various R&D support policies are under discussion. For instance, on February 11, 2025, the tax subcommittee of the National Assembly approved a proposed amendment to the Act on Restriction on Special Cases Concerning Taxation that aims to introduce a substantial tax credit of up to 50% for R&D investments in the AI sector.

2.6. Goods exports, based on real GDP, are projected to grow at a slower pace than previously anticipated owing to earlier-than-expected application of U.S. trade pressure. In the fourth quarter of last year, goods exports saw a slight increase compared to the previous quarter, driven by high-performance semiconductors such as HBM, reflecting the ongoing demand for AI, despite a slowdown in petroleum products. This year, exports are projected to increase, largely thanks to the IT sector, supported by favorable investment in global AI infrastructure.[68] In the first quarter, however, exports are expected to falter somewhat due to factors of temporary disruptions in semiconductor exports. Meanwhile, the oversupply from the China's manufacturing sector poses a structural constraint on Korea's exports, and the new U.S. administration's tariff policy is likely to cause the growth of Korea's exports to fall short of expectations.[69] As a result, goods exports are forecast to increase by only 0.9% this year and 0.8% next year. **Goods imports,** based on real GDP, are expected to rise by 1.1% this year and 1.9% next year, lower than the previous projection, due to delays in domestic demand recovery and slowing export growth.

Semiconductors act as a major driver of export volume

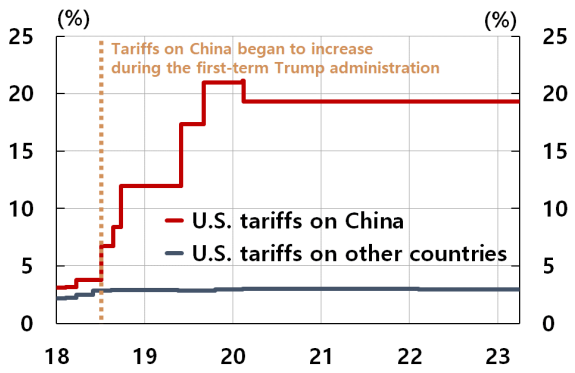
Figure 2.11. Export volumes of major items[1)]



Notes: 1) Based on export volume.
2) Solid line indicates 3-month moving average.
Source: Bank of Korea.

Average U.S. tariffs, having been low so far, are expected to rise

Figure 2.12. Average U.S. tariff rate[1)]



Note: 1) Weighted average of tariff rates by item, based on trade value in 2017.
Source: PIIE.

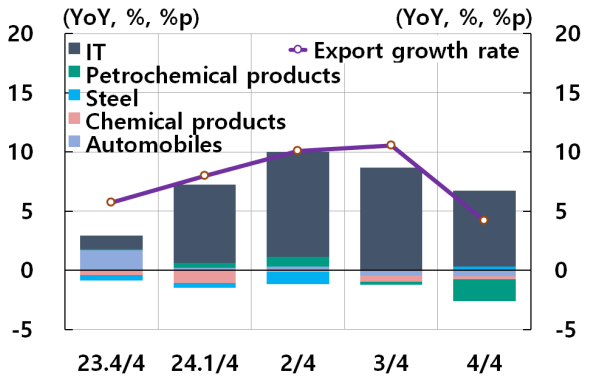
[68] Capital expenditures on AI-related investments by four U.S. big tech firms (Amazon, Microsoft, Alphabet, and Meta) are projected to reach USD 320 billion this year, up 30% from the previous year (Financial Times, February 6). However, the development of DeepSeek's AI model, which achieves performance comparable to existing high-end AI models while using lower-performance AI accelerators, has raised concerns about a potential decrease in demand for advanced AI accelerators and their associated high-bandwidth memory (HBM).

[69] In the first quarter of 2025, Demand for the current products is somewhat subdued in anticipation of the improved HBM3E chips from a domestic manufacturer, with supply expected to begin at the end of the quarter following an announcement on January 31, 2025. However, big tech companies have postponed or canceled orders for AI chips (specifically Nvidia's Blackwell series) due to overheating issues, which could place temporary downward pressure on semiconductor exports.

2.7. Looking at exports by item on a customs basis (nominal amount, year-on-year), the IT sector is expected to continue rising, while the non-IT sector is expected to decrease, with differentiation by item continuing. In the fourth quarter of last year, exports increased by 4.2%, primarily driven by semiconductors, but this growth has slowed compared to the 10.5% increase seen in the previous quarter.[70] By item, while exports of IT products are expected to increase at a slower pace due to the base effect of favorable exports last year, they are still likely to continue rising, mainly driven by high-performance semiconductors such as HBM. Exports of petroleum and chemical products are predicted to remain sluggish due to the oversupply of China's products and declining crude oil prices. Meanwhile, steel and metal exports are projected to remain weak, primarily due to the tariffs imposed on steel and aluminum[71] by the new U.S. administration. Exports of automobiles are likely to fall owing to an increase in domestic production in the United States,[72] and the possibility of the U.S.' imposition of tariffs[73] could significantly increase downward pressure. **Imports on a customs basis** (nominal amount, YoY) are expected to **increase, particularly in capital goods and consumer goods**. However, **growth will be modest due to delays in domestic demand recovery.**

Exports on a customs basis increased primarily in IT products

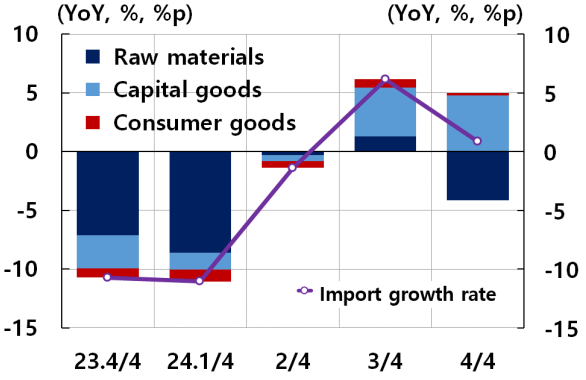
Figure 2.13. Contribution to exports by item on a customs clearance basis



Source: Korea Customs Service.

Imports of capital goods and consumer goods increased, while imports of raw materials fell due to a decline in oil prices

Figure 2.14. Contribution to imports by item on a customs clearance basis



Source: Korea Customs Service.

[70] In January 2025, exports fell by 10.2%, largely attributed to a reduction of four business days. However, on a daily average basis, exports rose by 7.8%.

[71] On February 10, President Trump signed an executive order nullifying the tariff exemption on Korea's steel products within the quota limit of 2.63 million tons annually and imposing a 25% tariff on steel and aluminum starting on March 12. This also included the nullification of the tariff exemption on steel products from Japan, Canada, Mexico, and the EU.

[72] An eco-friendly vehicle plant built by a domestic automaker in Georgia, the United States, commenced operation in the fourth quarter of last year, with the operation rate expected to rise gradually.

[73] On February 18, President Trump announced that details of the tariffs on automobiles will be revealed on April 2. However, the announcement could come sooner than expected, and the actual timing of the tariffs remains uncertain. Meanwhile, the U.S. trade deficit with Korea in passenger motor cars (SITC 781) is the third largest after Mexico and Japan, as of 2024.

Economic Growth Outlook[1)]

(YoY, %)

	2023	2024			2025[e)]			2026[e)]
	Year	H1	H2	Year	H1	H2	Year	Year
GDP growth rate	**1.4**	**2.8**	**1.3**	**2.0**	**0.8**	**2.2**	**1.5**	**1.8**
		<2.8>	<1.6>	<2.2>	<1.4>	<2.3>	<1.9>	<1.8>
• Private consumption	**1.8**	1.0	1.3	**1.1**	1.0	1.7	**1.4**	**1.8**
		<1.0>	<1.4>	<1.2>	<1.8>	<2.3>	<2.0>	<1.8>
• Construction investment	**1.5**	0.4	-5.5	**-2.7**	-6.7	1.1	**-2.8**	**2.5**
		<0.4>	<-2.9>	<-1.3>	<-3.2>	<0.5>	<-1.3>	<2.7>
• Facilities investment	**1.1**	-1.8	5.3	**1.8**	5.7	-0.2	**2.6**	**2.0**
		<-1.8>	<4.9>	<1.5>	<5.7>	<0.5>	<3.0>	<2.1>
• IPP investment	**1.7**	1.5	-0.1	**0.7**	2.5	4.9	**3.7**	**3.1**
		<1.5>	<-0.1>	<0.7>	<2.7>	<5.0>	<3.9>	<3.2>
• Goods exports	**2.9**	8.4	4.3	**6.3**	0.7	1.2	**0.9**	**0.8**
		<8.4>	<4.3>	<6.3>	<1.4>	<1.7>	<1.5>	<0.7>
• Goods imports	**-0.3**	-1.3	3.6	**1.2**	2.0	0.2	**1.1**	**1.9**
		<-1.3>	<3.6>	<1.1>	<3.0>	<0.9>	<1.9>	<2.0>

Note: 1) Figures in < > are projections of November 2024.
Source: Research Department.

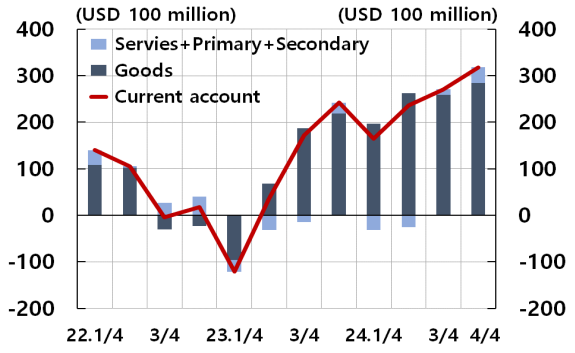
Current Account

2.8. The current account balance is projected to see a reduced surplus compared with last year due to the recent deterioration of trade conditions, particularly within the goods account. In the fourth quarter of last year, the surplus in the current account expanded significantly, primarily due to the goods account maintaining a high level of surplus and the primary income account remaining favorable, particularly in dividend income.[74] Looking ahead, the goods account surplus is predicted to decline from last year due to slowing exports on a customs basis, driven by the earlier-than-expected implementation of U.S. tariff policy. Meanwhile, the services balance is forecast to experience a slightly widening of the deficit due to a declining transportation balance in line with the moderation of global trade. Consequently, the surplus in the current account balance for this year and next year is expected to reach USD 75 billion and USD 70 billion, respectively.

[74] The surplus in the current account balance in the fourth quarter of last year amounted to USD 31.8 billion, the highest since the fourth quarter of 2020 (USD 33.7 billion), and recorded USD 99 billion last year on an annual basis, marking the second highest level since 2015, when it reached USD 105.1 billion.

Surplus in the current account balance expanded mostly due to the goods account in 2024

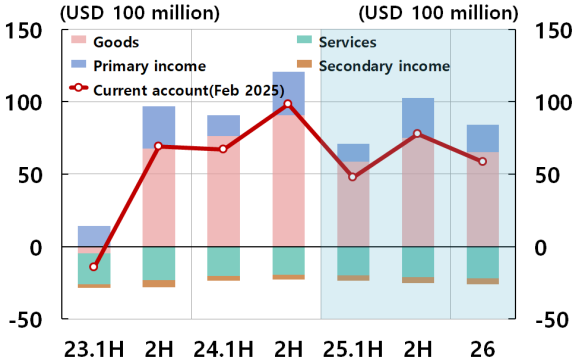
Figure 2.15. Current account balance



Source: Bank of Korea.

Surplus in the current account balance is expected to narrow, driven by a decline in the goods account

Figure 2.16. Trajectory of current account balance projection[1)2)]



Notes: 1) Based on monthly average.
2) Shaded area indicates projections.
Source: Bank of Korea.

Current Account Outlook[1)]

(USD 100 million)

	2023	2024			2025[e)]			2026[e)]
	Year	H1	H2	Year	H1	H2	Year	Year
Current account	**328**	402	589	**990**	**285**	**465**	**750**	**700**
			<520>	**<900>**	**<376>**	**<425>**	**<800>**	**<750>**
• Goods	**377**	459	543	**1,001**	351	450	**801**	**781**
			<509>	**<955>**	<444>	<432>	**<876>**	**<831>**
Exports (value)[2)]	**6,322**	3,348	3,488	**6,836**	3,348	3,497	**6,845**	**6,864**
	(-7.5)	(9.1)	(7.2)	**(8.1)**	(0.0)	(0.3)	**(0.1)**	**(0.3)**
Imports (value)[2)]	**6,426**	3,119	3,199	**6,318**	3,163	3,214	**6,378**	**6,429**
	(-12.1)	(-6.4)	(3.4)	**(-1.7)**	(1.4)	(0.5)	**(0.9)**	**(0.8)**
• Services	**-268**	-121	-116	**-237**	-120	-127	**-246**	**-266**
			<-119>	**<-233>**	<-122>	<-134>	**<-256>**	**<-266>**
• Primary and secondary income	**220**	64	162	**226**	54	142	**196**	**185**
			<129>	**<178>**	<54>	<127>	**<181>**	**<185>**

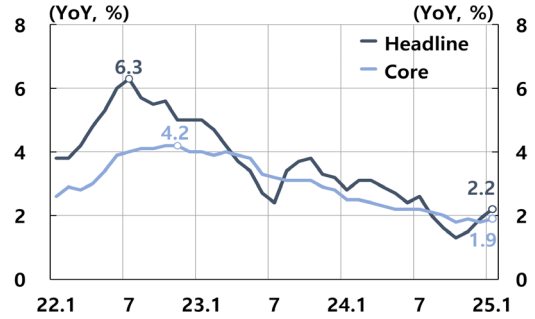
Notes: 1) Figures in < > are projections of November 2024.
2) Figures in ( ) indicate YoY growth rates.
Source: Research Department.

Prices

2.9. In January, headline inflation rose to the low-2% range (2.2% YoY), due to the rises in exchange rates and oil prices. This was attributed to the significant increase in petroleum prices, driven by rises in exchange rates and global oil prices.[75] Although the prices of certain agricultural items, such as cabbage and pears, rose due to poor harvests and increased demand during holidays, overall agricultural product inflation slowed, thanks to the base effect from last year and the government's measures to stabilize supply and demand. Core inflation, excluding food and energy, remained stable at around the upper-1% range (1.9%) due to low demand pressure.

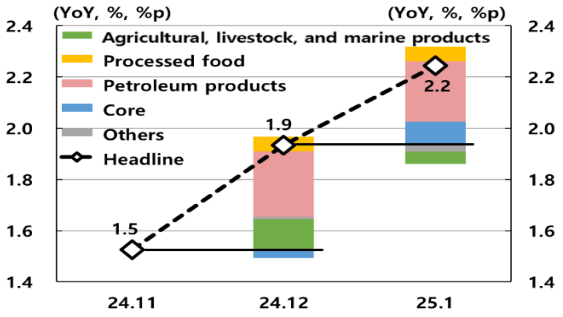
Headline inflation rebounded slightly due to recent rises in exchange rates and oil prices

Figure 2.17. Headline and core inflation



Source: Statistics Korea.

Figure 2.18. Decomposition of difference in monthly increases

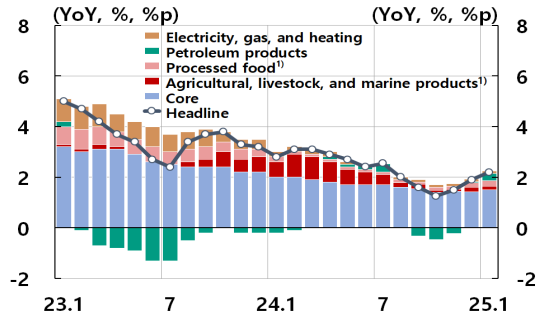


Sources: Statistics Korea, Research Department.

2.10. Household inflation expectations (for the next 12 months) have remained at the upper-2% range since the second half of last year.[76] Professionals' long-term inflation expectations for the next five years (Consensus Economics) have stayed slightly below the target level of 2.0%.

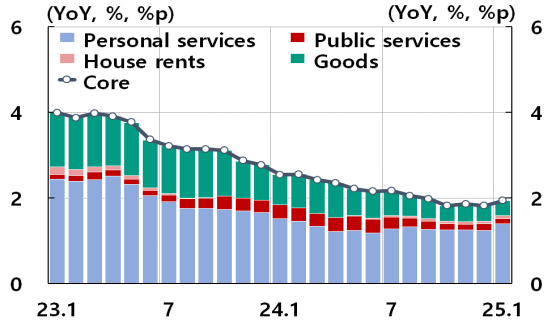
The recent upward trend of headline inflation is primarily due to higher petroleum prices

Figure 2.19. Contribution to headline CPI



Note: 1) Excluding core items.
Sources: Statistics Korea, Research Department.

Figure 2.20. Contribution to core inflation



Sources: Statistics Korea, Research Department.

[75] ▶ Petroleum prices (YoY, %) Oct. 2024 -10.9% → Nov. -5.3% → Dec. 1.0% → Jan. 2025 7.3%

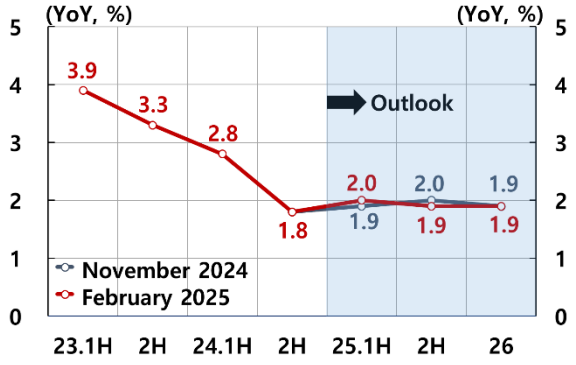
[76] (%)

	Feb. 2024	Mar.	Apr.	May	Jun.	Jul.	Aug.	Sep.	Oct.	Nov.	Dec.	Jan. 2025	Feb.
BOK households (next 12 months)	3.0	3.2	3.1	3.2	3.0	2.9	2.9	2.8	2.8	2.8	2.9	2.8	2.7
Consensus Economics professionals (5 years ahead)	1.9	1.9	1.8	1.8	1.8	1.8	1.8	1.8	1.9	1.9	1.9	1.8	1.8

2.11. Headline inflation is expected to be at 1.9% this year, consistent with the previous projection, as upside factors related to the rising KRW/USD exchange rate are offset by downside factors including low demand pressure and the government's price stabilization measures. Core inflation is projected to be 1.8% in 2025, slightly below the previous projection (1.9%). While the recent rises in the exchange rate and global oil prices[77] are upside factors for the supply side, the upward pressure on core inflation, particularly for durable goods, is likely to have eased as the recovery of domestic demand has weakened more than initially forecast. In addition, the government's measures[78] to stabilize prices, such as minimizing factors that contribute to increases in public charges, are likely to exert downward pressure on inflation.

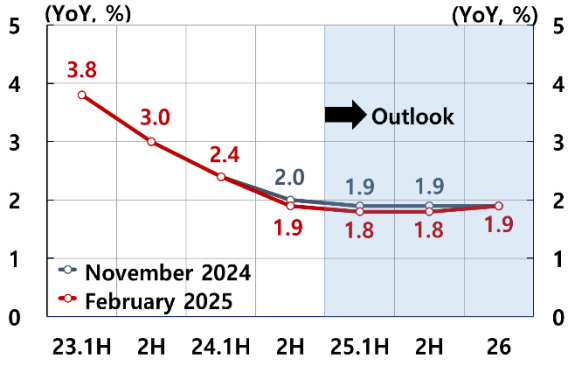
Headline inflation is projected to slow gradually, staying close to its target level

Figure 2.21. Headline inflation outlook



Sources: Statistics Korea, Research Department.

Figure 2.22. Core inflation outlook



Sources: Statistics Korea, Research Department.

Inflation Outlook[1)]

(YoY, %)

	2023	2024			2025[e)]			2026[e)]
	Year	H1	H2	Year	H1	H2	Year	Year
Headline inflation	**3.6**	2.8	1.8	**2.3**	2.0	1.9	**1.9**	**1.9**
					<1.9>	<2.0>	<1.9>	<1.9>
• Core prices[2)]	**3.4**	2.4	2.0	**2.2**	1.8	1.8	**1.8**	**1.9**
					<1.9>	<1.9>	<1.9>	<1.9>

Notes: 1) Figures in < > are projections of November 2024.
2) Excluding food and energy.
Source: Research Department.

[77] (Average over time)

	Jan. 2024	Sep.	Oct.	Nov.	Dec.	Jan. 2025	Feb. 1-24
▶ Dubai (USD/barrel)	78.9	73.4	74.6	72.8	73.3	80.1	75.4
▶ Gasoline (KRW/liter)	1,569	1,622	1,591	1,628	1,654	1,709	1,729.4
▶ Diesel (KRW/liter)	1,480	1,458	1,421	1,461	1,497	1,564	1,595.0

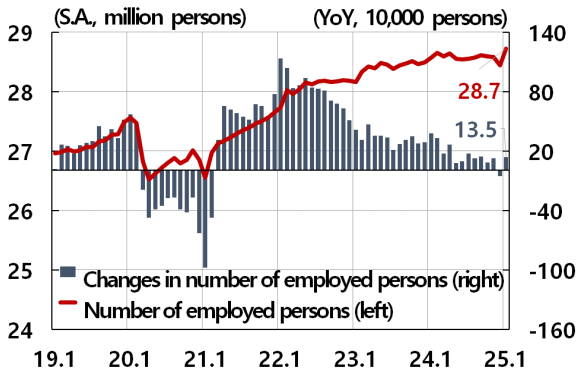
[78] In its 2025 economic policy direction, the government announced measures to stabilize prices. These include reducing the individual consumption tax on automobiles from 5.0% to 3.5% in the first half of the year, continuing efforts to stabilize agricultural product prices through price discounts and quota tariffs, and minimizing factors that could lead to increases in public charges and postponing and dispersing the timing of such increases.

Employment

2.12. Recently, the growth in the number of employed persons has slowed, particularly in the construction and wholesale & retail trade industries, owing to sluggish domestic demand. The number of employed persons shifted from a decrease of 52,000 in December to an increase of 135,000 in January this year. This increase is attributed to a remarkable rise of 152,000 jobs in the health & welfare and public administration sectors, driven by the government's expansion of job creation projects and the prompt implementation of such projects. By age and gender, the increase in employment was led by the elderly aged 60 or older (+340,000) and women (+191,000), who were highly influenced by the government's direct job projects. On the other hand, the construction (-169,000), wholesale and retail trade (-91,000), and manufacturing (-56,000) industries saw continued declines in employment. Unemployment and employment rates, which experienced dramatic changes in December, have recovered this year to the average levels of past years, as temporary factors influencing government job projects have subsided.

The increase in the number of employed persons rebounded in January 2025

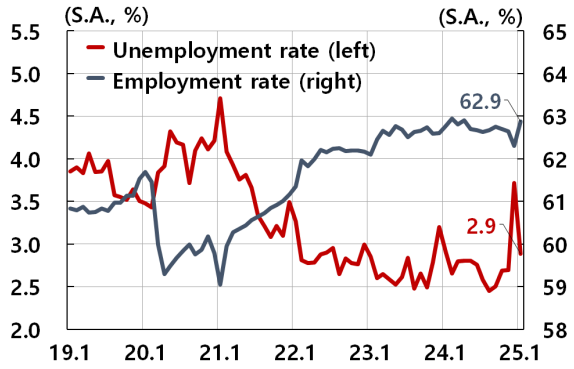
Figure 2.23. Change in number of employed persons



Source: Statistics Korea.

The unemployment rate fell after a temporary rise

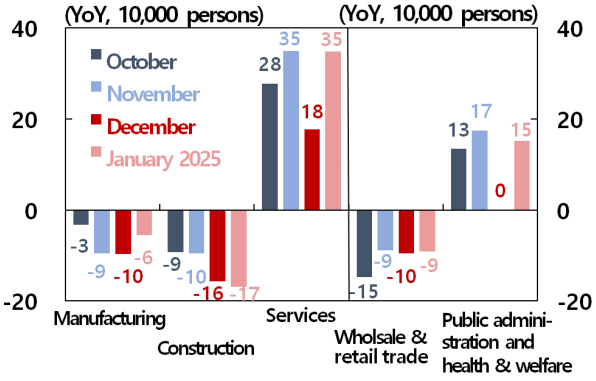
Figure 2.24. Unemployment and employment rates



Source: Statistics Korea.

The number of employed persons increased mostly in public sectors

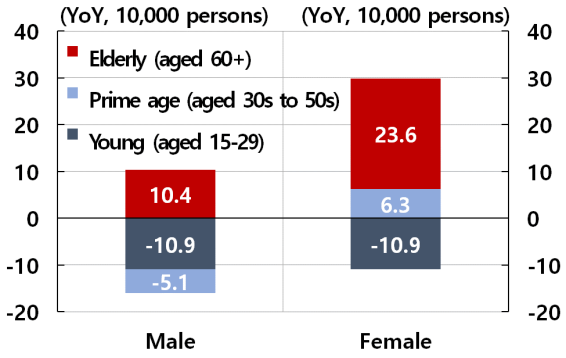
Figure 2.25. Variation in number of employed persons by industry



Source: Statistics Korea.

The number of employed persons among the elderly and women increased

Figure 2.26. Variation in number of employed persons by gender and age

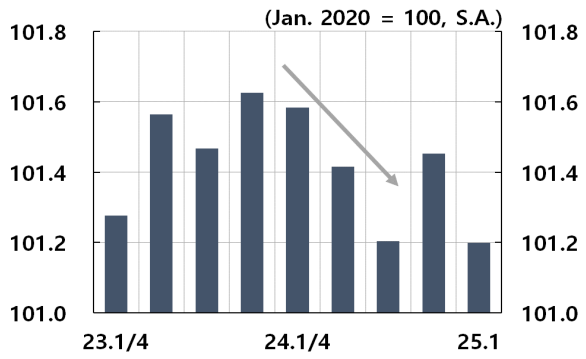


Source: Statistics Korea.

2.13. The quality of employment is expected to deteriorate compared to last year. The employment quality index[79] has been declining slowly since the fourth quarter of 2023. However, in December, the index temporarily rebounded as the employment of temporary and daily workers and simple labor decreased along with the end of the government's job projects. Decomposing the number of employed persons by the share of workers earning minimum wage, the contribution of low-wage workers (of whom 80 to 100% earn minimum wage) shifted to a decline last December. With the resumption of the government's job projects, the employment of low-wage workers began to pick up, which is expected to lead to another fall in the quality of employment.

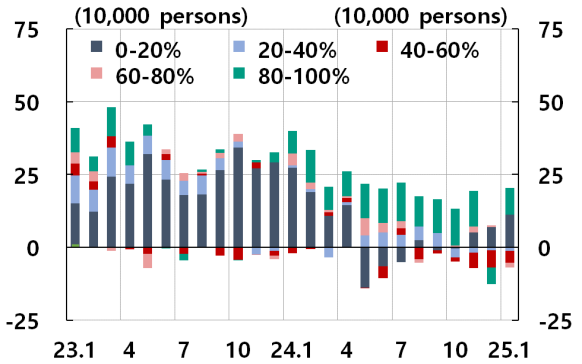
The quality of employment resumed its decline after a temporary rise in the fourth quarter

Figure 2.27. Trends of employment quality[1)]



Note: 1) Employment quality is evaluated in terms of three criteria: job stability, insufficient working hours (involuntarily working fewer than 36 hours), and risk of unemployment.
Sources: Statistics Korea, Research Department.

Figure 2.28. Change in number of employed persons by share of minimum-wage workers[1)2)]



Notes: 1) After classifying employed persons into 567 cells based on industry, company size, and occupation, these cells are then categorized into five groups based on the proportion of minimum-wage workers in each cell.
2) Workers earning less than KRW 10,000 per hour (minimum wage in 2023: KRW 9,620 per hour) are identified as minimum-wage workers.
Source: Economically Active Population Survey: Additional Survey by Type of Work.

[79] The quality of employment is assessed in terms of three factors: job stability, insufficient working hours (involuntarily working fewer than 36 hours, temporary layoffs, etc.), and risk of unemployment. The employment quality index had been declining gradually due to an increase in non-voluntary short-term workers from the fourth quarter of 2023. However, it saw a temporary jump in the fourth quarter of last year. This improvement was attributed to a slight improvement in job stability and reduction in unemployment risk, as the number of temporary and daily workers, as well as simple labor, decreased in December.

2.14. The number of employed persons this year is projected to drop from 160,000 last year to 100,000 this year. The sluggish employment in the manufacturing sector is expected to persist, particularly in the non-IT sector, and the construction and face-to-face service industries are likely to experience a continued slump in employment for the time being due to depressed construction investment and delays in the recovery of domestic demand. However, this slump will likely be offset by the government's expansion of direct job projects and the solid demand for labor in the health & welfare and information & communications sectors. While the labor supply is expected to increase mainly among the elderly and women, the magnitude of the increase will likely moderate due to a decrease in the working-age population (aged from 15 to 64) and a weakening of the rise in the labor force participation rate.

Employment Outlook[1)]

(10,000 persons, %)

	2023	2024					2025[e)]	2026[e)]
	Year	H1	H2	Year	H1	H2	Year	Year
Employment change[2)]	**33**	22	10	**16**	9	11	**10**	**11**
			<13>	<17>	<12>	<14>	<13>	<10>
Unemployment rate	**2.7**	3.1	2.5	**2.8**	3.2	2.7	**2.9**	**2.9**
			<2.5>	<2.8>	<3.1>	<2.7>	<2.9>	<2.9>
(S.A.)	**-**	2.8	2.8	**2.8**	2.9	2.9	**2.9**	**2.9**
Employment rate[3)]	**62.6**	62.5	62.9	**62.7**	62.5	62.9	**62.7**	**62.7**
	[69.2]	[69.3]	[69.8]	**[69.5]**	[69.6]	[70.1]	**[69.9]**	**[70.2]**

Notes: 1) Figures in < > are projections of November 2024.
2) Year-on-year.
3) Aged 15 or older, numbers in square brackets are for 15-64 year olds (OECD).
Source: Research Department.

3. Risk Assessment

Key Risks to the Outlook

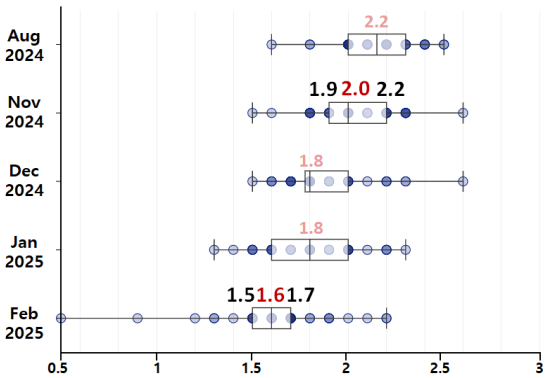
3.1. Regarding the future outlook, there is a high level of uncertainty in relation to the trade environment, fiscal expenditures, and semiconductor business cycle. For prices, the movement of exchange rates and the government's price stability measures are potential risk factors.

	Upside risks	Downside risks
GDP Growth	▪ Government's active measures to boost the economy	▪ Escalating global trade conflicts
	▪ Easing of domestic political uncertainty and recovery of economic sentiment	▪ Delay in easing of global monetary tightening trend
	▪ Faster-than-expected adoption of AI semiconductor chips across broad applications (growing demand for on-device AI)	▪ Deteriorating export conditions for semiconductors (slowdown in global IT cycle, China's catch-up)
Inflation	▪ Continuing high exchange rates(KRW/USD)	▪ Weakening demand-side pressure on prices
	▪ Growing supply chain pressures due to deepening trade conflicts	▪ Government's price stability measures

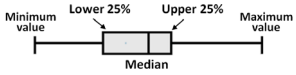
Distribution of Growth Projections by Market Participants

3.2. Growth projections by major forecasting institutions for 2025 have been revised downward compared to the November forecasts. Specifically, the median and lower quartile of domestic GDP growth projections for 2025 by market participants, including investment banks, have been revised downward to 1.6% and 1.5%, respectively, from the November forecasts of 2.0% and 1.9%.

Figure 3.1. Distribution of Korea's growth rate forecasts for 2025 by major institutions[1)]



Note: 1) 38 to 40 institutions.
Source: Bloomberg survey (February 13).



Scenario Analysis

3.3. Considering that the most significant uncertainty regarding the outlook lies in the trajectory of global trade conflicts, we have analyzed alternative scenarios.

The baseline scenario assumes that, this year, the United States will maintain its current tariffs on China's imports and impose tariffs on major trading partners with which it has trade deficits but at rates lower than those imposed on China. Moreover, some countries are assumed to respond with low-intensity tariffs. From 2026, tariffs on countries other than China are expected to ease gradually, leading to a decline in trade policy uncertainty under the baseline scenario.

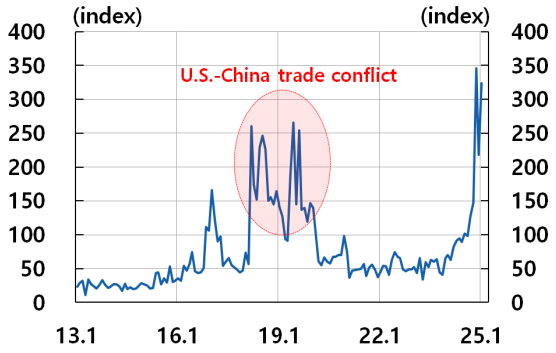
- **The optimistic scenario (early easing of trade conflicts)** assumes that the United States imposes tariffs lower than those in the baseline scenario on countries other than China, aiming to mitigate the adverse effects on its own economy. From 2026, tariffs on countries, including China, are assumed to gradually decline. In this case, the global economic slowdown is moderated, and trade policy uncertainty is rapidly alleviated. The **GDP growth** is projected to increase by **0.1%p this year** and **0.3%p next year** compared to the baseline scenario. The impact on **CPI inflation** is expected to be **limited this year** but could result in a **0.2%p increase next year** compared to the baseline scenario.

- **The pessimistic scenario (intensifying trade conflicts)** assumes that the United States and other countries continue imposing retaliatory tariffs this year. Tariffs are expected to rise significantly this year and remain at elevated levels through next year. In this case, as increased trade policy uncertainty and higher tariffs take effect over time, the **GDP growth** is expected to decline by **0.1%p this year** and **0.4%p next year**. The impact on **CPI inflation** is expected to be **limited this year**, but it will decelerate by **0.3%p next year** compared to the baseline scenario.

Table 3.1. Assumptions on U.S. Tariffs Policies

	Major contents
Baseline	▸ Tariffs on China are imposed starting from 25.1Q and be maintained thereafter. ▸ Tariffs on other countries are imposed in 2025 and be eased throughout 2026. ▸ Some countries impose low retaliatory tariffs on the U.S. ▸ Trade Policy Uncertainty eases from 2026 onward.
Optimistic	▸ Tariffs on China eases during 2026. ▸ Tariffs on other countries remains at low-level and ease throughout 2026. ▸ Only China imposes partial retaliatory tariffs on the U.S. ▸ Trade Policy Uncertainty eases from the second half of 2025 onward.
Pessimistic	▸ Tariffs on China and other countries rise sharply during 2025 and remain elevated throughout 2026. ▸ Affected countries impose high retaliatory tariffs on the U.S. ▸ Trade Policy Uncertainty intensifies further.

Figure 3.2. Trade policy uncertainty index



Source: Caldara et al. (2020).

GDP growth rate

(%, %p)	2024	2025[e]	2026[e]
Baseline	2.0	1.5	1.8
Optimistic scenario		+0.1	+0.3
Pessimistic scenario		-0.1	-0.4

Headline inflation

(%, %p)	2024	2025[e]	2026[e]
Baseline	2.3	1.9	1.9
Optimistic scenario			+0.2
Pessimistic scenario			-0.3

Sources: Research Department, Office of Economic Modeling & Policy Analysis.

Appendix 1. Key Economic Indicators

[World economy]

(QoQ, MOM, %)		2023	2024							2025
			Year	Q1	Q2	Q3	Q4	Nov.	Dec.	Jan.
United States	GDP growth[1)]	2.9	2.8	1.6	3.0	3.1	2.3	-	-	-
	Industrial production[2)]	0.2	-0.3	-0.4	0.6	-0.2	-0.3	-0.1	1.0	0.5
	Retail sales (nominal)	3.4	3.0	0.1	0.5	1.3	1.8	0.7	0.7	-0.9
	Consumer prices[3)]	4.1	2.9	3.2	3.2	2.6	2.7	2.7	2.9	3.0
	Change in non-farm payroll (1,000s)	3,348	2,093	575	514	338	504	261	307	143
Euro area	GDP growth rate	0.4	0.7	0.3	0.2	0.4	0.1	-	-	-
	Industrial production[2)]	-1.7	-3.0	-0.5	-0.2	-0.5	-0.5	0.4	-1.1	..
	Retail sales	-1.9	1.0	0.2	0.2	1.1	0.3	0.0	-0.2	..
	Exports on a customs clearance basis[4)]	-0.8	0.6	0.5	0.5	-0.8	0.7	3.4	-0.2	..
	Consumer prices[3)]	5.4	2.4	2.6	2.5	2.2	2.2	2.2	2.4	2.5
China	GDP growth[3)]	5.4	5.0	5.3	4.7	4.6	5.4	-	-	-
	Industrial production[2)3)]	4.6	5.8	6.1	5.9	5.0	5.6	5.4	6.2	..
	Retail sales (nominal)[3)]	7.2	3.5	4.7	2.6	2.7	3.8	3.0	3.7	..
	Fixed investment (nominal)[3)5)]	3.0	3.2	4.5	3.9	3.4	3.2	3.3	3.2	..
	Exports on a customs clearance basis[3)]	-4.7	5.9	1.5	5.7	5.9	9.9	6.6	10.7	..
	Consumer prices[3)]	0.2	0.2	0.0	0.3	0.5	0.2	0.2	0.1	0.5

Notes: 1) Annualized rate. 2) Mining and manufacturing. 3) Year-on-year.
4) Excluding trade within the EU. 5) Cumulative.
Sources: Fed, BEA, BLS, Eurostat, National Bureau of Statistics of China, General Administration of Customs of the People's Republic of China, etc.

[Global energy prices]

(Average during the period)	2023	2024							2025	
		Year	Q1	Q2	Q3	Q4	Nov.	Dec.	Jan.	Feb.[3)]
Dubai oil[1)]	82	80	81	85	79	74	73	73	80	75
Brent oil[1)]	82	80	82	85	79	74	73	73	78	75
European natural gas[2)]	41	35	28	32	36	43	45	45	48	52

Notes: 1) USD/barrel. 2) EUR/MWh.
3) For February 1 to 24, 2025.
Source: Bloomberg.

[Domestic economy]

(QoQ, MOM, %)		2023	2024						2025
			Year	Q1	Q2	Q3	Q4	Nov.	Dec.	Jan.
Growth	GDP growth	1.4	2.0	1.3	-0.2	0.1	0.1	-	-	-
	Retail sales	-1.5	-2.2	-0.5	-0.8	-0.6	-0.6	0.0	-0.6	..
	(YoY)			(-2.1)	(-2.9)	(-1.9)	(-2.1)	(-2.2)	(-3.3)	..
	Facilities investment index	-4.9	4.1	-3.8	-0.2	10.3	0.1	0.0	9.9	..
	(YoY)			(0.3)	(-1.5)	(10.7)	(7.0)	(2.7)	(13.1)	..
	Construction completed	7.3	-4.9	4.9	-6.2	-5.0	-5.2	-0.9	1.3	..
	(YoY)			(4.1)	(-3.0)	(-9.6)	(-10.1)	(-12.5)	(-8.3)	..
	Exports on a customs clearance basis (USD 100 million)	6,322	6,836	1,633	1,715	1,736	1,751	563	614	491
	(YoY)	(-7.5)	(8.1)	(8.0)	(10.1)	(10.5)	(4.2)	(1.3)	(6.6)	(-10.2)
	Imports on a customs clearance basis (USD 100 million)	6,426	6,318	1,548	1,570	1,600	1,599	507	549	510
	(YoY)	(-12.1)	(-1.7)	(-11.1)	(-1.4)	(6.2)	(0.9)	(-2.5)	(3.3)	(-6.4)

Sources: Bank of Korea, Statistics Korea, Korea Customs Service.

(YoY, %)		2023	2023	2024					2025
			Year	Q1	Q2	Q3	Q4	Nov.	Dec.	Jan.
Prices	Headline inflation	3.6	2.3	3.0	2.7	2.1	1.6	1.5	1.9	2.2
	Core inflation[1)]	3.4	2.2	2.5	2.2	2.1	1.8	1.9	1.8	1.9
Current account balance	Current account (USD 100 million)	328	990	165	237	271	318	100	124	..
	Goods	377	1,001	197	262	259	284	99	104	..
	Services	-268	-237	-75	-46	-56	-60	-20	-21	..
	Primary and secondary income	220	226	43	21	68	94	21	41	..
Employment	Changes in number of employed persons (10,000 persons)	32.7	15.9	29.4	14.6	14.6	5.2	12.3	-5.2	13.5
	Unemployment rate (S.A., %)	2.7	2.8	2.8	2.8	2.5	3.0	2.7	3.7	2.9

Note: 1) Excluding energy and food.
Sources: Bank of Korea, Statistics Korea.

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